Independent Auditor's Report

To the members of D.G. Khan Cement Company Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the annexed consolidated financial statements of D. G. Khan Cement Company Limited and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at June 30, 2025, and the consolidated statement of profit or loss, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information and other explanatory information.

In our opinion, consolidated financial statements give a true and fair view of the consolidated financial position of the Group as at June 30, 2025, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with the accounting and reporting standards as applicable in Pakistan.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants as adopted by the Institute of Chartered Accountants of Pakistan (the Code) and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Following are the Key audit matters:

Sr. No.	Key audit matters	How the matters were addressed in our audit
(i)	**Deferred taxation** (Refer notes 4.3 and 11 to the annexed consolidated financial statements) The Group has recognised deferred tax in respect of specific unused tax credits and unused tax losses. Deferred tax assets on such items have been recognised as it is probable that sufficient taxable profits will be available in future, before their expiry, for their utilisation on the basis of the approved business plan. Due to the significant level of judgement and estimation required in preparing the business plan for determining recoverability of deferred tax assets and the significance of the amounts involved, we consider it to be a key audit matter.	Our audit procedures included the following: • Obtained an understanding of the Group's process of preparing the deferred tax working and tested internal controls over management's valuation of deferred tax assets; • Obtained an understanding regarding the relevant tax laws with respect to availability of tax credits and unused tax losses; • Recalculated the amount of tax credits and unused tax losses in accordance with the provisions of the Income Tax Ordinance, 2001; • Involved internal tax specialist to check the income tax computation for the year and assessed the

Sr. No.	Key audit matters	How the matters were addressed in our audit
		management's conclusion on carry forward of the tax credits and unused tax losses; • Obtained the approved business plan and evaluated the management's assumptions used in the preparation of business plan; • Assessed the reasonableness of computation of taxable income derived from the approved business plan; • Checked the management's analysis regarding the timing of utilisation of unused tax credits and unused tax losses by considering the year wise utilisation of such amounts and evaluated the selection of the expected tax rate in this regard; and • Assessed the appropriateness of accounting policy in respect of recognition of deferred tax assets on unused tax credits and unused tax losses and the adequacy of the disclosures made by the Group in this area with regard to the applicable accounting and reporting standards.
(ii)	**Investments measured at fair value** (Refer notes 4.15, 20.1.1 and 20.1.2 to the annexed consolidated financial statements) The Group holds investments in equity instruments of Nishat Hotels and Properties Limited ('NHPL') and Hyundai Nishat Motor (Private) Limited ('HNMPL'). Due to NHPL and HNMPL being non-listed companies, their shares do not have a quoted price in an active market. Therefore, fair values of their shares have been determined through valuation methodology based on discounted cash flow method. This involves several estimation techniques and management's judgements to obtain reasonable expected future cash flows of respective businesses and related discount rates. Management involved an expert to perform these valuations on its behalf. Due to the significant level of judgment and estimation required to determine the fair value of the investments, we consider it to be a key audit matter.	Our audit procedures included the following: • Understood and evaluated the process by which the cash flow forecasts were prepared and approved, including confirming the mathematical accuracy of the underlying calculations; • Evaluated the cash flow forecasts by obtaining an understanding of respective businesses of NHPL and HNMPL; • Obtained an understanding of the work performed by the management's expert on the models for the purpose of valuations; • Examined the professional qualification of management's expert and assessed the independence, competence and experience of the management's expert in the field; • Obtained corroborating evidence relating to the values as determined by the management's expert by challenging key assumptions for the growth rates in the cash flow forecasts by comparing them to historical results and economic forecasts and challenging the discount rate by independently estimating a range based on market data; • Performed sensitivity analysis around key assumptions to ascertain the extent of change individually in the values of the investments; and • Assessed the adequacy of the disclosures made by the Group in this area with regard to applicable accounting and reporting standards.

Sr. No.	Key audit matters	How the matters were addressed in our audit
(iii)	**Stock-in-trade and Stores, spare parts and loose tools** (Refer notes 3.2, 4.13, 4.14, 23 and 24 to the annexed consolidated financial statements) As at June 30, 2025, the Group held certain items of stock-in-trade and stores, spare parts and loose tools ('inventory' items) which included clinker as work-in-process and coal as stores. The above inventory items are stored in purpose-built sheds, stockpiles and silos. As the weighing of these inventory items is not practicable, the management assesses the reasonableness of the quantities on-hand by obtaining measurements of stockpiles and converting these measurements into unit of volume by using angle of repose and bulk density values. As the determination of quantities of on-hand inventory items, by measuring the volume and density of these items as at the reporting date, involved significant estimates, this has been considered to be a key audit matter.	Our audit procedures to assess the existence of inventory included the following: • Obtained an understanding of the measurement process and procedures with respect to the specific items of the stock-in-trade and stores held in the form of stockpiles; • Attended physical inventory counts performed by the Group on a sample basis and assessed the reasonableness of the management's process of measurement of stockpiles and the determination of volume using angle of repose and bulk density values; • Involved an independent auditor's expert having expertise in the measurement and technical assessment for determination of quantities for certain inventory items; and • Obtained and reviewed the inventory count report prepared by the management and the report prepared by the auditor's expert.

Information Other than the Unconsolidated and Consolidated Financial Statements and Auditor's Reports Thereon

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated and unconsolidated financial statements and our auditor's reports thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and the Board of Directors for the consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the accounting and reporting standards as applicable in Pakistan and the requirements of Companies Act, 2017 (XIX of 2017) and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Board of Directors are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with

ISAs as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Board of Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Board of Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Board of Directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Hammad Ali Ahmad.

A.F. Ferguson & Co.,
Chartered Accountants

Lahore

Date: September 30, 2025

UDIN: AR2025100922PlhZHR9V

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Note	2025	2024
		(Rupees in thousand)	
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Authorised share capital			
950,000,000 (2024: 950,000,000)			
ordinary shares of Rs 10 each		9,500,000	9,500,000
50,000,000 (2024: 50,000,000)			
preference shares of Rs 10 each		500,000	500,000
		10,000,000	10,000,000
Issued, subscribed and paid up share capital			
438,119,118 (2024: 438,119,118)			
ordinary shares of Rs 10 each	5	4,381,191	4,381,191
Other reserves	6	44,133,217	33,857,722
Revenue reserve: Un-appropriated profits		47,705,604	38,441,045
Attributable to owners of the parent company		96,220,012	76,679,958
Non-controlling interests		3,408,827	2,867,117
Total equity		99,628,839	79,547,075
NON-CURRENT LIABILITIES			
Long term finances from financial institutions - secured	7	13,434,057	17,435,308
Deferred government grant	8	81,557	170,232
Long term deposits	9	940,292	572,748
Employee benefits obligations	10	954,639	944,549
Deferred taxation	11	14,100,697	13,495,346
		29,511,242	32,618,183
CURRENT LIABILITIES			
Trade and other payables	12	14,438,779	13,319,937
Short term borrowings from financial institutions - secured	13	12,347,094	15,108,379
Accrued markup	14	550,953	1,417,035
Current portion of non-current liabilities	15	2,082,405	5,577,710
Unclaimed dividend		34,153	34,200
Income tax payable		330,834	-
Provision for taxation		117,413	209,416
		29,901,631	35,666,677
CONTINGENCIES AND COMMITMENTS	16	159,041,712	147,831,935

The annexed notes 1 to 54 form an integral part of these consolidated financial statements.

Chief Executive

AS AT JUNE 30, 2025

	Note	2025	2024
		(Rupees in thousand)	
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	17	83,883,406	83,859,386
Intangible asset	18	13,076	42,763
Biological assets	19	1,286,798	1,167,436
Long term investments	20	19,694,305	15,213,597
Long term deposits	21	61,013	61,568
		104,938,598	100,344,750
CURRENT ASSETS			
Stores, spares and loose tools	22	12,733,731	14,445,071
Stock-in-trade	23	11,211,964	9,528,482
Trade debts	24	1,699,018	956,035
Contract assets	25	253,466	84,893
Short term investments	26	24,360,184	18,409,908
Loans, advances, deposits, prepayments and other receivables	27	2,426,669	991,894
Income tax recoverable		462,885	2,083,669
Cash and bank balances	28	955,197	987,233
		54,103,114	47,487,185
		159,041,712	147,831,935

Chief Financial Officer

Director

CONSOLIDATED STATEMENT OF PROFIT OR LOSS
For the Year Ended June 30, 2025

	Note	2025	2024
		(Rupees in thousand)	
Revenue	29	78,633,908	71,888,079
Cost of sales	30	(58,834,577)	(60,276,300)
Gross profit		19,799,331	11,611,779
Administrative expenses	31	(1,488,442)	(1,366,546)
Selling and distribution expenses	32	(3,879,054)	(2,612,900)
Net impairment loss on financial assets		(6,920)	(102,654)
Changes in fair value of biological assets	19	469,855	372,431
Other expenses	33	(971,273)	(28,623)
Other income	34	5,050,139	4,357,946
Finance cost	35	(4,288,179)	(8,552,123)
Profit before tax and levy		14,685,457	3,679,310
Levy	36	(630,520)	(574,923)
Profit before income tax		14,054,937	3,104,387
Taxation	37	(4,297,247)	(2,221,957)
Profit for the year		9,757,690	882,430
Profit is attributable to:			
Owners of the parent company		9,239,142	620,898
Non-controlling interests		518,548	261,532
		9,757,690	882,430
Earnings per share - basic and diluted in Rupees	38	21.09	1.42

The annexed notes 1 to 54 form an integral part of these consolidated financial statements.

Chief Executive

Chief Financial Officer

Director

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
For the Year Ended June 30, 2025

	2025	2024
	(Rupees in thousand)	
Profit for the year	9,757,690	882,430
Other comprehensive income for the year - net of tax		
Items that may be reclassified subsequently to profit or loss:	-	-
Items that will not be subsequently reclassified to profit or loss:		
Change in fair value of investments at fair value through other comprehensive income (OCI)	9,409,174	12,853,393
Tax effect of change in fair value of investments at fair value through OCI	993,983	(1,255,999)
Remeasurement of retirement benefits	41,666	56,343
Tax effect of remeasurement of retirement benefits	(16,249)	(21,974)
	10,428,574	11,631,763
Other comprehensive income for the year	10,428,574	11,631,763
Total comprehensive income for the year	20,186,264	12,514,193
Total comprehensive income is attributable to:		
Owners of the parent company	19,540,054	12,019,157
Non-controlling interests	646,210	495,036
	20,186,264	12,514,193

The annexed notes 1 to 54 form an integral part of these consolidated financial statements.

Chief Executive

Chief Financial Officer

Director

CONSOLIDATED STATEMENT OF CASH FLOWS

For the Year Ended June 30, 2025

	Note	2025	2024
		(Rupees in thousand)	
Cash flows from operating activities			
Cash generated from operations	39	17,109,436	13,398,026
Finance cost paid		(5,154,261)	(8,992,731)
Retirement and other benefits paid		(198,725)	(204,891)
Income tax (paid) / refundable		(854,547)	1,476,885
Levy paid		(630,520)	(574,923)
Long term loans, advances and deposits - net		368,099	135,909
Net cash inflow from operating activities		10,639,482	5,238,275
Cash flows from investing activities			
Payments for property, plant and equipment		(4,239,803)	(2,296,298)
Proceeds from disposal of property, plant and equipment		688,896	155,304
Payments for intangible asset		-	(56,155)
Payments for purchase of biological assets		(7,650)	(13,300)
Proceeds from sale of biological assets		186,391	461,699
Investment in equity and debt instruments		(368,279)	(20,000)
Interest received		131,742	72,644
Dividends received		4,125,456	3,775,912
Net cash inflow from investing activities		516,753	2,079,806
Cash flows from financing activities			
Proceeds from long term finances acquired		1,879,007	12,602,529
Repayment of long term finances		(9,518,547)	(7,332,634)
Dividends paid to owners of the parent company		(47)	(504)
Buy-back of shares of subsidiary from non-controlling shareholders (note 1.1)		(104,500)	(110,000)
Net cash (outflow) / inflow from financing activities		(7,744,087)	5,159,391
Net increase in cash and cash equivalents		3,412,148	12,477,472
Cash and cash equivalents at the beginning of the year		(14,121,146)	(26,717,163)
Effect of exchange rate changes on cash and cash equivalents		(29,379)	118,545
Cash and cash equivalents at the end of the year	40	(10,738,377)	(14,121,146)

Refer note 51 for reconciliation of liabilities arising from financing activities.

The annexed notes 1 to 54 form an integral part of these consolidated financial statements.

Chief Executive

Chief Financial Officer

Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the Year Ended June 30, 2025

	Share Capital	Capital Reserve: Share premium	Capital Reserve: FVOCI reserve	Capital Reserve: Capital redemption reserve fund	Revenue Reserve: General reserve	Revenue Reserve: Un-appropriated Profits	Total equity attributable to owners of parent company	Non-Controlling Interest	Total equity
	-------	-------	-------	-------	Rupees in thousand	-------	-------	-------	-------
Balance as on July 1, 2023	4,381,191	4,557,163	12,472,308	353,510	5,110,851	37,785,778	64,660,801	2,482,081	67,142,882
Total comprehensive income for the year									
- Profit for the year	-	-	-	-	-	620,898	620,898	261,532	882,430
- Other comprehensive income for the year:									
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	11,363,890	-	-	-	11,363,890	233,504	11,597,394
- Remeasurements of retirement benefits - net of tax	-	-	-	-	-	34,369	34,369	-	34,369
	-	-	11,363,890	-	-	655,267	12,019,157	495,036	12,514,193
Transactions with owners in their capacity as owners recognised directly in equity									
Buy-back of shares	-	-	-	-	-	-	-	(110,000)	(110,000)
Balance as on June 30, 2024	4,381,191	4,557,163	23,836,198	353,510	5,110,851	38,441,045	76,679,958	2,867,117	79,547,075
Total comprehensive income for the year									
- Profit for the year	-	-	-	-	-	9,239,142	9,239,142	518,548	9,757,690
- Other comprehensive income for the year:									
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	10,275,495	-	-	-	10,275,495	127,662	10,403,157
- Remeasurements of retirement benefits - net of tax	-	-	-	-	-	25,417	25,417	-	25,417
	-	-	10,275,495	-	-	9,264,559	19,540,054	646,210	20,186,264
Transactions with owners in their capacity as owners recognised directly in equity									
Buy-back of shares (note 1.1)	-	-	-	-	-	-	-	(104,500)	(104,500)
Balance as on June 30, 2025	**4,381,191**	**4,557,163**	**34,111,693**	**353,510**	**5,110,851**	**47,705,604**	**96,220,012**	**3,408,827**	**99,628,839**

The annexed notes 1 to 54 form an integral part of these consolidated financial statements.

Chief Executive

Chief Financial Officer

Director

NOTES TO AND FORMING PART OF THE CONSOLIDATED FINANCIAL STATEMENTS
For the Year Ended June 30, 2025

1. The Group and its activities

The Group comprises of:

- D. G. Khan Cement Company Limited (the 'parent company');
- Nishat Packaging Limited (formerly known as Nishat Paper Products Company Limited);
- Nishat Dairy (Private) Limited; and
- D.G. Khan Cement Company (USA) LLC.

D. G. Khan Cement Company Limited is a public company limited by shares, incorporated in Pakistan in 1978 under the repealed Companies Act, 1913 (now, the Companies Act, 2017, hereinafter may be referred to as the 'Act'). Its ordinary shares are listed on the Pakistan Stock Exchange Limited. It is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement (hereinafter referred to as the 'Cement segment'). It has four cement plants; two plants located at Dera Ghazi Khan ('D. G. Khan'), one at Khairpur District, Chakwal ('Khairpur') and one at at District Hub ('Hub').

Nishat Packaging Limited (formerly known as Nishat Paper Products Company Limited) is a public company limited by shares, incorporated in Pakistan on July 23, 2004 under the repealed Companies Ordinance, 1984 (now, the Act). It is principally engaged in the manufacture and sale of packaging material (hereinafter referred to as the 'Packaging segment'). Its manufacturing facilities are located at Khairpur on the parent company's land and Quaid-e-Azam Business Park, Industrial Estate, Sheikhupura.

Nishat Dairy (Private) Limited is a private company limited by shares, incorporated in Pakistan on October 28, 2011 under the repealed Companies Ordinance, 1984 (now, the Act). It is principally engaged in the business of production and sale of raw milk (hereinafter referred to as the 'Dairy segment'). Its production facility and factory is situated at 1- KM Sukheki Road, Pindi Bhattian.

D.G. Khan Cement Company (USA) LLC is a wholly owned subsidiary of D.G. Khan Cement Company Limited situated in 509 Branard Street, Houston Texas, United States of America. The principle business of the subsidiary is sale of cement products. The subsidiary is yet to commence its commercial operations.

The registered office of all the above companies except for D.G. Khan Cement Company (USA) LLC is situated at Nishat House, 53-A, Lawrence Road, Lahore. The parent company's holding in its subsidiaries is as follows:

	Effective percetage of holding
- Nishat Packaging Limited	55.00%
- Nishat Dairy (Private) Limited	55.10%
- D.G. Khan Cement Company (USA) LLC	100.00%

The Group has regional offices located across Pakistan, the geographical locations of which are listed below:

Regional office	Geographical location
Lahore region	Nishat House, 53-A, Lawrence Road, Lahore
Multan region	17-E-1, Officers Colony, Near Eid Gah, Main Khanewal Road, Multan Cantt, Multan
Karachi region	D-247, KDA Scheme No. 1/A, Karachi
Rawalpindi region	Office # 13-16, Third Floor, Rizwan Arcade, Adamjee Road, Saddar, Rawalpindi
D.G. Khan region	16-B, Khayaban-e-Sarwar, Manka Road, D.G. Khan

1.1 During the year Nishat Dairy (Private) Limited with the approval of its shareholders in the extraordinary general meeting, resolved to buy back, for the purpose of cancellation, an aggregate number of 23,275,000 issued and paid-up ordinary shares of the Dairy segment at the par value i.e. Rs 10 per share during the purchase period. Accordingly, the Dairy segment has completed purchase of 23,275,000 own shares. Accordingly, these own shares were cancelled and the buy-back process stood completed.

2. Basis of preparation

2.1 Statement of compliance

These consolidated financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. The accounting and reporting standards applicable in Pakistan comprise of:

i) International Financial Reporting Standards ('IFRS') issued by the International Accounting Standards Board ('IASB') as notified under the Companies Act, 2017;

ii) Islamic Financial Accounting Standards ('IFAS') issued by the Institute of Chartered Accountants of Pakistan as notified under the Companies Act, 2017; and

iii) Provisions of and directives issued under the Companies Act, 2017.

Where provisions of and directives issued under the Companies Act, 2017 differ from the IFRS or IFAS, the provisions of and directives issued under the Companies Act, 2017 have been followed.

2.2 Initial application of standards, amendments or an interpretation to existing standards

The following amendments to existing standards have been published that are applicable to the Group's consolidated financial statements covering annual periods, beginning on or after the following dates:

2.2.1 Standards, amendments to published standards and interpretations that are effective in the current year

Certain standards, amendments and interpretations to IFRS are effective for accounting periods beginning on July 1, 2024 but are considered not to be relevant or to have any significant effect on the Group's operations (although they may affect the accounting for future transactions and events) and are, therefore, not detailed in these consolidated financial statements except for the following:

a) Amendment to International Accounting Standard (IAS) 1, "Non-current liabilities with covenants" (effective for annual period beginning on January 1, 2024)

The amendment clarifies how conditions that an entity must comply with within twelve months after the reporting period affect the classification of a liability. The amendment also aims to improve the information an entity provides related to liabilities subject to these amendments. The amendment clarifies that a liability should be classified as a current liability if a breach of covenant that gives the lender the right to demand immediate repayment occurs at or prior to the end of the reporting period, unless sufficient relief is granted by the lender before or at the end of the reporting period.

The above amendment did not result in any significant changes to these consolidated financial statements.

2.2.2 Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

There are certain standards, amendments to the approved accounting standards and interpretations that are mandatory for the Group's accounting periods beginning on or after July 1, 2025 but are considered not to be relevant or to have any significant effect on the Group's operations and are, therefore, not detailed in these consolidated financial statements, except for the following:

a) Amendment to IFRS 9 and IFRS 7 - Classification and Measurement of Financial Instruments (effective for annual period beginning on or after January 1, 2026)

The IASB has issued narrow-scope amendments to IFRS Standards. The amendments aim to:

- clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;

- clarify and add further guidance for assessing whether a financial asset meets the Solely Payments of Principal and Interest ('SPPI') criterion;

- add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance ('ESG') targets); and

- make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income ('FVOCI').

An important clarification brought about in these amendments is that a payment instruction (e.g. a cheque) that is prepared for a future payment will generally not meet the requirements for the financial liability to be discharged and hence derecognised. The previous practice of financial liabilities being derecognized upon issuance of cheques would need to be reconsidered.

b) Annual improvements to International Financial Reporting Standards – Volume 11 (effective for annual period beginning on July 1, 2026)

Annual improvements are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversights or conflicts between the requirements in the Accounting Standards. The 2024 amendments are to the following standards:

- IFRS 1 First-time Adoption of International Financial Reporting Standards;

- IFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing IFRS 7;

- IFRS 9 Financial Instruments;

- IAS 7 Statement of Cash Flows.

c) IFRS 18 "Presentation and Disclosure in Financial Statements" (effective for annual periods beginning or after January 1, 2027)

This is the new standard on presentation and disclosure in financial statements, with a focus on updates to the statement of profit or loss. The key new concepts introduced in IFRS 18 relate to:

- the structure of the statement of profit or loss;

- required disclosures in the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management defined performance measures); and

- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

The Group is yet to assess the impact of this Standard and above amendments / improvements to existing standards on its consolidated financial statements.

3. Basis of measurement

3.1 These consolidated financial statements have been prepared on a historical cost basis except for the following:

- certain financial instruments, government grant, and plan assets of defined benefit gratuity at fair value,

- certain employee benefit obligations and provisions at present value, and

- biological assets at fair value less costs to sell.

3.2 Critical accounting estimates and judgements

The preparation of these consolidated financial statements in conformity with accounting and reporting standards requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. Estimates and judgments are continually evaluated and are based on historic experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Revision to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. In the process of applying the Group's accounting policies, management has made the following estimates and judgments which are significant to these consolidated financial statements:

a) Provision for taxation and recognition of deferred tax asset for tax credits and for carried-forward tax losses - notes 4.3, 11 and 37

b) Employee benefit obligations - notes 4.4 and 10

c) Useful lives and residual values of property, plant and equipment - notes 4.6 and 17.1

d) Fair valuation of biological assets - notes 4.9 and 19

e) Fair value of unquoted fair value through other comprehensive income ('FVOCI') investments - note 4.15 and 20

f) Impairment of financial assets (other than investments in equity instruments) - note 4.15.4

g) Existence of stores, spare parts and loose tools and stock-in-trade items ('inventory' items) - note 4.13 and 4.14

The Cement segment's certain stock-in-trade items [i.e. raw materials (gypsum, iron ore, laterite etc.), work-in-process (raw meal and clinker) and finished goods (cement)] and certain store items (i.e. coal and refused derived fuel) ('inventory' items) are stored in purpose-built sheds, stockpiles and silos. As weighing these items is not practicable, the management assesses the reasonableness of the quantities on-hand inventory items by obtaining measurement of these items and converting these measurements into unit of volume by using angle of repose and bulk density values.

h) Contingencies - note 16

i) Estimate of Net Realisable Value ('NRV') of stock-in-trade - note 4.14

j) Estimate of present value of provisions - notes 4.21 and 12

4. Material accounting policy information

The material accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

4.1 Principles of consolidation

a) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity where the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises the:

- fair values of the assets transferred;
- liabilities incurred to the former owners of the acquired business;
- equity interests issued by the Group;
- fair value of any asset or liability resulting from a contingent consideration arrangement, and
- fair value of any pre-existing equity interest in the subsidiary.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquired entity on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets.

Acquisition-related costs are expensed as incurred.

The excess of the consideration transferred, amount of any non-controlling interest in the acquired entity, and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the subsidiary acquired, the difference is recognised directly in profit or loss as a bargain purchase.

Where settlement of any part of cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of exchange. The discount rate used is the entity's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Contingent consideration is classified either as equity or a financial liability. Amounts classified as a financial liability are subsequently remeasured to fair value, with changes in fair value recognised in profit or loss.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date. Any gains or losses arising from such remeasurement are recognised in profit or loss.

Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Non-controlling interests ('NCI') in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of financial position respectively.

b) Changes in ownership interests

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised in a separate reserve within equity attributable to owners of the Group.

When the Group ceases to consolidate because of a loss of control, any retained interest in the entity is re-measured to its fair value, with the change in carrying amount recognised in consolidated statement of profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in consolidated statement of comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in consolidated statement of comprehensive income are reclassified to consolidated statement of profit or loss.

4.2 Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in consolidated statement of profit or loss over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the consolidated statement of financial position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in consolidated statement of profit or loss as other income or finance costs.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

Covenants that the Group is required to comply with, on or before the end of the reporting period, are considered in classifying loan arrangements with covenants as current or non-current. Covenants that the Group is required to comply with after the reporting period do not affect the classification at the reporting date.

4.3 Taxation

Income tax comprises current and deferred tax. Income tax is recognised in the consolidated statement of profit or loss except to the extent that relates to items recognised directly in consolidated statement of changes in equity or consolidated statement of comprehensive income, in which case it is recognised directly in equity or consolidated statement of comprehensive income.

Current

The charge for current tax is calculated using prevailing tax rates or tax rates expected to apply to profit for the year if enacted or substantively enacted at the end of the reporting period in accordance with the prevailing law for taxation of income, after taking into account tax credits, rebates and exemptions, if any. Management periodically evaluates position taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and considers whether it is probable that the tax authorities will accept an uncertain tax treatment. The charge for current tax also includes adjustments, where considered necessary, to provision for tax made in previous years arising from assessments framed during the year for such years. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty. Current tax assets and tax liabilities are offset where the Group has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that, at the time of the transaction, affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, unused tax losses and tax credits can be utilised. Deferred tax assets and liabilities are offset where there is a legally enforceable right to offset current tax assets and liabilities and where the deferred tax balances relate to the same taxation authority.

4.3.1 Levies

Minimum taxes and the final taxes that are not calculated on the ‘taxable profit’ as defined in IAS 12 but calculated on turnover or other basis and the tax deducted at source other than from dividends from subsidiaries, joint ventures and associates under final tax regime or any minimum taxes which are not adjustable against future income tax liability, are classified as levy in the profit or loss as they fall under the scope of IFRIC 21 "Levies" and IAS 37 "Provisions, Contingent Liabilities and Contingent Assets".

4.4 Employee benefits

4.4.1 Short term obligations

Liabilities for wages and salaries, including non-monetary benefits and accumulating annual leaves that are expected to be settled wholly within twelve months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the consolidated statement of financial position.

4.4.2 Post employment benefits

(a) Defined benefit plan - Gratuity

The Cement segment operates an approved funded defined benefit gratuity plan for all eligible regular employees having joining date on or before June 30, 2022 and a service period of more than five years for officers and six months for workers. Provisions are made in the consolidated financial statements to cover obligations on the basis of actuarial valuations carried out annually. The most recent valuation was carried out as at June 30, 2025 using the "Projected Unit Credit Method".

The actual return on plan assets represents the difference between the fair value of plan assets at the beginning of the year and as at the end of the year after adjustments for contributions made by the Group as reduced by benefits paid during the year.

The amount recognised in consolidated statement of financial position represents the present value of the defined benefit obligation as reduced by the fair value of the plan assets.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in consolidated statement of comprehensive income in the year in which they arise. Past service costs are recognised immediately in the consolidated statement of profit or loss.

The future contribution rate of the plan includes allowances for deficit and surplus. Projected Unit Credit Method, using the following significant assumptions, is used for valuation of this scheme:

	2025	2024
Discount rate per annum	11.75%	14.75%
Expected increase in eligible salary level per annum	10.75%	13.75%
Duration of the plan (years)	7	7

The expected mortality rates assumed are based on the SLIC (2001-2005) mortality table set back one year.

(b) Defined contribution plan

The Group operates provident funds for all its regular employees. Equal monthly contributions are made to the funds both by the Group and the employees as follows:

Cement segment: at the rate of 10% of the basic salary for officers and 10% of basic salary plus cost of living allowance for workers.

Packaging segment: at the rate of 10% of the basic salary

Dairy segment: at the rate of 9.5% of the basic salary plus cost of living allowance

The Group has no further payment obligations once the contributions have been paid. Obligation for contributions to defined contribution plan is recognised as an expense in the consolidated statement of profit or loss as and when incurred.

4.4.3 Accumulating compensated absences

The Cement segment provides for accumulating compensated absences, when the employees render services that increase their entitlement to future compensated absences. Under the service rules, employees are entitled to 2.5 days leave per month. Unutilised leaves can be accumulated up to 30 days in case of officers. However, leave policy for officers whose leave balance was already accumulated to 90 days or above as of July 1, 2019 may keep leaves accumulated up to 90 days. An officer is entitled to encash the unutilised earned leave accrued during the year. In addition, he can also encash some portion of his accumulated leave balance during the year. Any further unutilised leaves lapse. The earned leave encashment is based on basic salaries. In case of workers, unutilised leaves may be accumulated up to 120 days, however, accumulated leave balance above 50 days is encashable upon demand of the worker. Unutilised leaves can be used at any time by all employees, subject to the approval of the Group's management.

Provisions are made annually to cover the obligation for accumulating compensated absences based on actuarial valuation and are charged to the consolidated statement of profit or loss . The most recent valuation was carried out as at June 30, 2025 using the "Projected Unit Credit Method".

The amount recognised in the consolidated statement of financial position represents the present value of the defined benefit obligations. Actuarial gains and losses are charged to the consolidated statement of profit or loss immediately in the period when these occur.

Projected unit credit method, using the following significant assumptions, has been used for valuation of accumulating compensated absences:

	2025	2024
Discount rate per annum	11.75%	14.75%
Expected rate of increase in salary level per annum	10.75%	13.75%
Expected mortality rate	SLIC (2001-2005) mortality table (setback 1 year)	SLIC (2001-2005) mortality table (setback 1 year)
Duration of the plan (years)	2	3

4.5 Trade and other payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of the financial year which are unpaid. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

4.6 Property, plant and equipment

4.6.1 Operating fixed assets

Operating fixed assets except freehold land are stated at cost less accumulated depreciation and any identified impairment loss. Freehold land is stated at cost less any identified impairment loss. Cost in relation to certain operating fixed assets signifies historical cost and borrowing costs as referred to in note 4.22.

Depreciation on all operating fixed assets of the Group is charged to the consolidated statement of profit or loss on the reducing balance method, except for plant and machinery and leasehold land of the Cement and Packaging segments, which are being depreciated using the straight line method, so as to write off the depreciable amount of such assets over their estimated useful life at annual rates mentioned in note 17.1 after taking into account their residual values.

The assets' residual values and useful lives are reviewed at each financial year end and adjusted if impact on depreciation is significant. The Group's estimate of the residual value and useful life of its operating fixed assets as at June 30, 2025 has not required any adjustment as its impact is considered insignificant.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount as fully explained in note 4.10 to these consolidated financial statements.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item shall flow to the Group and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to consolidated statement of profit or loss during the period in which they are incurred.

Proceeds from the sale of items while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management are not deducted from the cost of an item of property, plant and equipment. Instead, the Group recognizes the proceeds from selling such items, and the cost of producing those items, in profit or loss.

The gain or loss on disposal or retirement of an asset represented by the difference between the sale proceeds and the carrying amount of the asset is recognised as an income or expense.

4.6.2 Major spare parts and stand-by equipment

Major spare parts and stand-by equipment qualify as property, plant and equipment when an entity expects to use them for more than one year. Transfers are made to operating fixed assets category as and when such items are available for use.

4.6.3 Capital work-in-progress

Capital work-in-progress is stated at cost less any identified impairment loss. All expenditure including borrowing costs connected with specific assets incurred during installation and construction period are carried under capital work-in-progress. These are transferred to operating fixed assets as and when these are available for use.

4.7 Non-current assets classified as held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use and a sale is considered highly probable. They are measured at the lower of their carrying amount and fair value less costs to sell, except for assets such as deferred tax assets, assets arising from employee benefits, financial assets that are carried at fair value, and contractual rights under insurance contracts, which are specifically exempt from this requirement.

4.8 Intangible assets - Computer software

Expenditure incurred to acquire computer software is capitalised as intangible asset and stated at cost less accumulated amortization and any identified impairment loss. Computer software is amortized using the straight line method over a period of three years.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount (as explained in note 4.10 to these consolidated financial statements).

4.9 Biological assets - Livestock

Livestock are measured at their fair value less estimated point-of-sale costs. Fair value of livestock is determined by an independent valuer on the basis of best available estimates for livestock of similar attributes.

Gains or losses arising from changes in fair value less estimated point-of-sale costs of livestock is recognised in the consolidated statement of profit or loss.

Livestock are categorized as mature or immature. Mature livestock are those that have attained harvestable specifications. Immature livestock have not yet reached that stage.

Farming cost such as feeding, labour cost, pasture maintenance, veterinary services and sheering are expensed as incurred. The cost of purchase of cattle plus transportation charges are capitalized as part of biological assets.

4.10 Impairment of non-financial assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

4.11 Earnings per share (EPS)

Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS is calculated by adjusting basic EPS with weighted average number of additional ordinary shares that would be issued on conversion of all dilutive potential ordinary shares into ordinary shares and post-tax effect of changes in profit or loss attributable to ordinary shareholders of the Group that would result from conversion of all dilutive potential ordinary shares into ordinary shares.

4.12 Investments

Investments intended to be held for less than twelve months from the reporting date or to be sold to raise operating capital, are included in current assets, all other investments are classified as non-current. Management determines the appropriate classification of its investments at the time of the purchase and re-evaluates such designation on a regular basis.

4.13 Stores, spares and loose tools

Stores, spare parts and loose tools are valued at moving weighted average cost except for items in transit which are stated at invoice value plus other charges paid thereon till the reporting date. For items which are slow moving and / or identified as obsolete, adequate provision is made for any excess book value over estimated realizable value. The Group reviews the carrying amount of stores and spares on a regular basis and provision is made for obsolescence.

4.14 Stock-in-trade

Stock of raw materials (except for those in transit), work in process and finished goods are valued principally at the lower of weighted average cost and net realisable value ('NRV'). Stock of packing material is valued principally at moving average cost. Cost of work-in-process and finished goods comprises cost of direct materials, labour and related production overheads (based on normal operating capacity).

Materials in transit are stated at cost comprising invoice value plus other charges paid thereon.

Net realisable value is determined on the basis of estimated selling price of the product in the ordinary course of business less estimated costs of completion and estimated cost necessary to make the sale.

If the expected net realisable value is lower than the carrying amount, a write-down is recognised for the amount by which the carrying amount exceeds its net realisable value. Provision is made in the consolidated financial statements for obsolete and slow moving stock-in-trade based on management estimate.

4.15 Financial assets

4.15.1 Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value [either through other comprehensive income ('OCI') or through profit or loss]; and

- those to be measured at amortised cost.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income.

The Group reclassifies debt investments when and only when its business model for managing those assets changes.

4.15.2 Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade date, being the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

4.15.3 Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payments of principal and interest.

Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. There are three measurement categories into which the Group classifies its debt instruments:

i) Amortised cost: Assets that are held for collection of contractual cash flows, where those cash flows represent solely payments of principal and interest, are measured at amortised cost. Interest income from these consolidated financial assets is included in other income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss. Impairment losses are presented as a separate line item in the consolidated statement of profit or loss.

ii) FVOCI: Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses, which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss. Interest income from these consolidated financial assets is included in other income using the effective interest rate method. Impairment expenses are presented as a separate line item in the consolidated statement of profit or loss.

iii) FVPL: Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognised in profit or loss in the period in which it arises.

Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in the statement of profit or loss. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

4.15.4 Impairment of financial assets other than investment in equity instruments

The Group assesses on a forward-looking basis the expected credit losses (ECL) associated with its financial assets. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade debts and contract assets, the Group applies IFRS 9 simplified approach to measure the expected credit losses (loss allowance) which uses a life time expected loss allowance to be recognised from initial recognition of the receivables while general 3-stage approach for loans, deposits, other receivables and bank balances i.e. to measure ECL through loss allowance at an amount equal to 12-month ECL if credit risk on a financial instrument or a group of financial instruments has not increased significantly since initial recognition.

Following are the financial assets that are subject to the ECL model:

- Trade debts;
- Contract assets;
- Long term loans;
- Long term deposits;
- Loans, deposits and other receivables; and
- Bank balances

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information (adjusted for factors that are specific to the counterparty, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate). As for the exposure at default for financial assets, this is represented by the assets' gross carrying amount at the reporting date.

The measurement of ECL reflects:

- an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;

- the time value of money; and

- reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

The Group recognizes an impairment gain or loss in the consolidated statement of profit or loss for financial assets with a corresponding adjustment to their carrying amount through a loss allowance account.

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group may write-off financial assets that are still subject to enforcement activity. Subsequent recoveries of amounts previously written off will result in impairment gains.

4.16 Financial liabilities

All financial liabilities are recognised at the time when the Group becomes a party to the contractual provisions of the instrument. Financial liabilities at amortised cost are initially measured at fair value less transaction costs. Financial liabilities at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in profit or loss.

Financial liabilities, other than those at fair value through profit or loss, are subsequently measured at amortised cost using the effective interest rate method. Gain and losses are recognised in the profit or loss, when the liabilities are derecognised as well as through effective interest rate amortization process.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in respective carrying amounts is recognised in the consolidated statement of profit or loss.

4.17 Offsetting of financial assets and liabilities

Financial assets and liabilities are offset and the net amount is reported in the consolidated financial statements only when there is a legally enforceable right to set off the recognised amount and the Group intends either to settle on a net basis or to realise the assets and to settle the liabilities simultaneously.

4.18 Trade debts and other receivables

Trade debts are amounts due from customer for goods sold or services performed in ordinary course of business. Other receivables generally arise from transactions outside the usual operating activities of the Group. Trade debts and other receivables are recognised initially at the amount of consideration that is unconditional, unless they contain significant financing component in which case such are recognised at fair value. The Group holds the trade debts with the objective of collecting the contractual cash flows and therefore measures the trade debts subsequently at amortised cost using the effective interest rate method less loss allowance.

4.19 Cash and cash equivalents

For the purpose of presentation in the consolidated statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Short term borrowings are also included in cash and cash equivalent if it is repayable on demand and forms an integral part of the Group's cash management. Bank overdrafts are shown within borrowings in current liabilities in the consolidated statement of financial position.

4.20 Foreign currency transactions and translation

a) Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the Group operates (the functional currency). The financial statements are presented in Pak Rupees, which is the Group’s functional and presentation currency.

b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions, and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates, are generally recognised in consolidated statement of profit or loss.

Foreign exchange gains and losses that relate to borrowings are presented in the consolidated statement of profit or loss, within finance costs. All other foreign exchange gains and losses are presented in the consolidated statement of profit or loss on a net basis within other gains / (losses).

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognised in consolidated profit or loss as part of the fair value gain or loss, and translation differences on non-monetary assets such as equities classified as at fair value through other comprehensive income are recognised in other comprehensive income.

4.21 Provisions

Provisions for legal claims and make good obligations are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount can be reliably estimated.

Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

4.22 Borrowing costs

General and specific borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Qualifying assets are assets that necessarily take a substantial time to get ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in consolidated statement of profit or loss in the period in which they are incurred.

4.23 Revenue recognition

Revenue is recognised when or as performance obligations are satisfied by transferring control of a promised good or service to a customer, and control either transfers over time or at a point in time. Revenue is measured at fair value of the consideration received or receivable, excluding discounts, commissions and government levies. Revenue is recognised upon satisfaction of performance obligations.

In case of local sales for all segments, except for made-to-order packaging products produced by the packaging segment, revenue is recognised at the time of despatch of goods from the factory.

In case of export sales, the delivery of goods and transportation are two distinct performance obligations and the total transaction price is allocated to each performance obligation. Revenue relating to each performance obligation is recognised on satisfaction of each distinct performance obligation.

In case of made-to-order packaging products, revenue is recognised over time.

4.24 Other income

Other income comprises interest income on funds invested (financial assets), dividend income, gain on disposal of financial assets and changes in fair value of investments. Interest income is recognised as it accrues in consolidated statement of profit or loss, using effective interest method. Dividend income is recognised in consolidated statement of profit or loss on the date that the Group's right to receive payment is established.

4.25 Share capital

Ordinary shares are classified as equity and recognised at their face value. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, if any.

All ordinary shares of the Group rank equally with regard to the Group's residual assets. Holders of these shares are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Group.

4.26 Dividend

Dividend distribution to the members is recognised as a liability in the period in which the dividends are approved.

4.27 Segment reporting

Segment reporting is based on the operating (business) segments of the Group. An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. An operating segment's operating results are reviewed regularly by the Chief Operating Decision Makers (the CODMs) to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available. The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Directors of the parent company.

Segment results that are reported to the CODMs include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise mainly corporate assets, income tax assets, liabilities and related income and expenses. Segment capital expenditure is the total cost incurred during the year to acquire property, plant and equipment.

The business segments are engaged in providing products or services which are subject to risks and rewards which differ from the risk and rewards of other segments.

The Group's strategic steering committee, consisting of the Board of Directors of the parent company, examines the Group's performance both from a product and geographic perspective and has identified three reportable segments of its business:

Cement segment: Production and sale of clinker, ordinary portland and sulphate resistant cements.

Packaging segment: Manufacture and supply of packaging material.

Dairy segment: Production and sale of raw milk.

4.28 Contingent liabilities and assets

Contingent liability is disclosed when:

- there is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non occurrence of one or more uncertain future events not wholly within the control of the Group; or

- there is present obligation that arises from past events but it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised. A contingent liability is disclosed unless the possibility of an outflow is remote.

Contingent asset is disclosed when an inflow of economic benefits is probable. Contingent assets are not recognised in the financial statements since this may result in recognition of income that may never be realised.

Contingent liabilities and assets are generally estimated using:

- The single most likely outcome; or

- A weighted average of all the possible outcomes (the 'expected value' method). This is likely to be the most appropriate method for a large population of similar claims, but can also be applied to a single obligation with various possible outcomes.

4.29 Contract asset and contract liability

A contract asset is recognised for the Group's right to consideration in exchange for goods or services that it has transferred to a customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, the Group presents the amount as a contract asset, excluding any amounts presented as a receivable.

A contract liability is recognised for the Group's obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration, or the Group has a right to an amount of consideration that is unconditional (i.e. a receivable), before the Group transfers a good or service to the customer, the entity shall present the contract as a contract liability when the payment is made or the payment is due (whichever is earlier).

4.30 Government grants

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all attached conditions. Government grants relating to costs are deferred and recognised in the consolidated statement of profit or loss over the period necessary to match them with the costs that they are intended to compensate.

4.31 Rounding of amounts

All amounts disclosed in the consolidated financial statements and notes have been rounded off to the nearest thousand Rupees unless otherwise stated.

5. Issued, subscribed and paid up share capital

2025	2024			2025	2024
(Number of shares)				(Rupees in thousand)	
343,512,029	343,512,029	Ordinary shares of Rs 10 each fully paid in cash		3,435,120	3,435,120
20,000,000	20,000,000	Ordinary shares of Rs 10 each issued for consideration other than cash	- note 5.2	200,000	200,000
74,607,089	74,607,089	Ordinary shares of Rs 10 each issued as fully paid bonus shares		746,071	746,071
438,119,118	438,119,118			4,381,191	4,381,191

5.1 137,574,201 (2024: 137,574,201), 428,500 (2024: 428,500) and nil (2024: 4,081) ordinary shares of the parent company are held by the following related parties; Nishat Mills Limited, Security General Insurance Company Limited and Adamjee Life Assurance Company Limited respectively.

Nishat Mills Limited is an Investor and the parent company is an associate of Nishat Mills Limited as per IAS 28, "Investments in Associates and Joint Ventures".

5.2 20,000,000 ordinary shares of Rs 10 each were issued to the shareholders of D.G. Khan Electric Company Limited upon its merger with D.G. Khan Cement Company Limited on July 1, 1999. These shares were issued as consideration of merger against all assets, properties, rights, privileges, powers, bank accounts, trade marks, patents, leaves and licenses of D.G. Khan Electric Company Limited.

6. Other reserves

Composition of reserves is as follows:

		2025	2024
		(Rupees in thousand)	
Capital reserves			
- Share premium	- note 6.1	4,557,163	4,557,163
- FVOCI reserve	- note 6.2	34,111,693	23,836,198
- Capital redemption reserve fund	- note 6.3	353,510	353,510
		39,022,366	28,746,871
Revenue reserve			
- General reserve	- note 6.4	5,110,851	5,110,851
		44,133,217	33,857,722

6.1 This reserve can be utilised by the Group only for the purposes specified in section 81 of the Companies Act, 2017.

6.2 This represents the unrealised gain on remeasurement of equity investments at FVOCI and is not available for distribution.

6.3 The Capital redemption reserve fund represents fund created for redemption of preference shares. In accordance with the terms of issue of preference shares, to ensure timely payments, the Group was required to maintain a redemption fund with respect to preference shares. The Group had created a redemption fund and appropriated Rs 7.4 million each month from the consolidated statement of profit or loss in order to ensure that fund balance at redemption date was equal to the principal amount of the preference shares. The preference shares were redeemed during the year ended June 30, 2007.

6.4 The balance in general reserve has been accumulated by way of transfers from un-appropriated profits as per approval of the Board of Directors of the Group.

7. Long term finances from financial institutions - secured

		2025	2024
		(Rupees in thousand)	
From banking companies:			
Loans under refinance scheme	-note 7.1	1,810,067	2,827,374
Long term loans	-note 7.2	13,567,765	20,056,180
		15,377,832	22,883,554
Current portion shown under current liabilities		(1,943,775)	(5,448,246)
		13,434,057	17,435,308

7.1 Loans under refinance scheme - secured

Lender	2025	2024	Number of instalments outstanding	Mark-up / Profit Payable
	(Rupees in thousand)			
State Bank of Pakistan's Temporary Economic Refinance Facility (TERF)				
Loan 1				
National Bank of Pakistan	1,455,475	2,518,475	7 equal quarterly instalments ending in March 2027	Quarterly
State Bank of Pakistan's Islamic Temporary Economic Refinance Facility (ITERF)				
Loan 2				
Faysal Bank Limited - Islamic (Diminishing Musharakah) -note 7.1.1	435,777	510,777	Equal semi-annual instalments of each tranche - note 7.1.1	Half yearly
Loan 3				
MCB Islamic Bank Limited	83,996	97,121	26 equal quarterly instalments ending in November 2031	Quarterly
	1,975,248	3,126,373		

Such facilities are available at mark-up / profit rates ranging from base rate plus 0.7% to 1.25% (2024: 0.7% to 1.25%) per annum. The base rate applicable during the year on such facilities is State Bank of Pakistan ('SBP') rate of 1% resulting in coupon rate ranging from 1.70% to 2.25% (2024: 0.50% to 1.7%) per annum.

Loan 1

This represents long term financing facility availed under SBP Temporary Economic Refinance Scheme ('TERF'). The loan is secured by first pari passu charge over present and future fixed assets of the Cement Segment for Rs 6,993.33 million with 25% margin.

Loan 2

This represents long term financing facility availed under SBP Islamic Temporary Economic Refinance Scheme ('ITERF'). The loan is secured by first pari passu charge of Rs 800 million over present and future fixed assets of the Cement Segment (including land & machinery).

Loan 3

This represents long term financing facility availed under SBP Islamic Temporary Economic Refinance Scheme ('ITERF'). The loan is secured by exclusive hypothecation and pari passu charge over specific plant and machinery of the Dairy Segment with 25% margin.

7.1.1 Lender - Faysl Bank Limited

Tranche	2025	2024	Number of instalments outstanding	Profit Payable
	(Rupees in thousand)			
Tranche 1	71,108	85,330	10 equal semi-annual instalments ending in May 2030	Half yearly
Tranche 2	92,717	108,170	12 equal semi-annual instalments ending in January 2031	Half yearly
Tranche 3	117,192	136,724	12 equal semi-annual instalments ending in February 2031	Half yearly
Tranche 4	154,760	180,553	12 equal semi-annual instalments ending in June 2031	Half yearly
	435,777	510,777		

7.1.2 The reconciliation of the carrying amount is as follows:

		2025	2024
		(Rupees in thousand)	
Balance as at beginning of the year		3,126,373	3,847,063
Disbursements during the year		-	-
Repayments during the year		(1,151,125)	(720,690)
	-note 7.1	1,975,248	3,126,373
Discount on liability:			
Balance as at beginning of the year		(298,999)	(475,622)
Unwinding of discount on liability		133,818	176,623
		(165,181)	(298,999)
Balance as at end of the year		1,810,067	2,827,374
Current portion shown under current liabilities	-note 15	(848,392)	(803,213)
		961,675	2,024,161

7.2 Long term loans

Lender	2025	2024	Number of instalments outstanding	Mark-up / Profit Payable
	(Rupees in thousand)			
Loan 1 The Bank of Punjab - Islamic (Diminishing Musharakah)	-	50,000	-	Half yearly
Loan 2 The Bank of Punjab - Demand Finance	-	900,000	-	Half yearly
Loan 3 The Bank of Punjab - Islamic (Diminishing Musharakah)	-	600,000	-	Half yearly
Loan 4 Habib Bank Limited - Term Finance	-	250,000	-	Quarterly
Loan 5 Habib Bank Limited Term Finance	-	249,980	-	Quarterly
Loan 6 Bank Alfalah Limited - Term Finance	-	250,000	-	Quarterly
Loan 7 Bank Alfalah Limited - Term Finance	-	562,500	-	Quarterly
Loan 8 National Bank of Pakistan - Demand Finance	-	299,000	-	Quarterly
Loan 9 National Bank of Pakistan - Islamic (Diminishing Musharaka)	-	300,000	-	Half yearly
Loan 10 Allied Bank Limited - Term Finance	-	360,000	-	Quarterly
Loan 11 Allied Bank Limited - Combination of conventional and islamic syndicated term finance facility	-	980,667	-	Quarterly
Loan 12 Allied Bank Limited - Term Finance	-	500,000	-	Quarterly
C/F	**-**	**5,302,147**		

Lender	2025 (Rupees in thousand)	2024 (Rupees in thousand)	Number of instalments outstanding	Mark-up / Profit Payable
B/F	-	5,302,147		
Loan 13 The Bank of Punjab - Term Finance (SBP Re-Finance Scheme)	408,447	627,570	18 equal semi-annual instalments ending in June 2034	Quarterly
Loan 14 Allied Bank Limited - Term Finance	-	787,500	-	Quarterly
Loan 15 Meezan Bank Limited - Islamic (Diminishing Musharaka)	-	648,365	-	Quarterly
Loan 16 Habib Bank Limited - Term Finance	-	120,000	-	Half yearly
Loan 17 The Bank of Punjab - Term Finance	-	27,777	-	Half yearly
Loan 18 Askari Bank - Combination of conventional and islamic syndicated term finance facility	6,000,000	7,000,000	17 equal quarterly instalments ending in March 2030	Monthly
Loan 19 Allied Bank - Term Finance	1,837,500	2,100,000	21 equal quarterly instalments ending in August 2030	Quarterly
Loan 20 MCB Bank Limited - Term Finance (SBP Re-Finance Scheme) Related Party	241,000	241,000	20 equal semi-annual instalments starting in November 2026	Quarterly
Loan 21 Dubai Islamic Bank - Islamic (Long term islamic finance facility)	1,800,000	1,800,000	20 equal quarterly instalments starting in September 2026	Monthly
Loan 22 Allied Bank Limited - Term Finance	973,136	231,136	24 equal quarterly instalments, starting in August 2026	Quarterly
Loan 23 Meezan Bank Limited - Term Finance	1,307,682	1,170,685	12 equal semi annual instalments, starting in November 2026	Half yearly
Loan 24 National Bank of Pakistan - Islamic (Long term islamic finance facility)	1,000,000	-	10 Equal semi annually installments starting in April 2027	Half yearly
	13,567,765	**20,056,180**		

Such facilities are available at mark-up / profit rates ranging from one to six months Karachi Inter-Bank Offered Rate ('KIBOR') plus 0.15% to 0.35% per annum (2024: three to six months KIBOR plus 0.15% to 0.35% per annum). Markup / profit rate charged during the year on outstanding balance ranged from 11.55% to 23.22% (2024: 20.20% to 24.19%) per annum.

7.2.1 Security

Loan 1
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 667 million.

Loan 2
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 2,000 million.

Loan 3
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,333 million.

Loan 4
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 3,333 million.

Loan 5
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 3,333 million.

Loan 6
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 3,333 million.

Loan 7
First pari passu charge over present and future fixed assets of the Cement Segment for Rs 2,667 million.

Loan 8
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 4,000 million.

Loan 9
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,333 million.

Loan 10
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,200 million.

Loan 11
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 7,867 million.

Loan 12
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,333 million.

Loan 13
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,056 million.

Loan 14
Joint pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,125 million.

Loan 15
Joint pari passu charge over all present and future fixed assets of the Cement Segment for Rs 1,125 million.

Loan 16
First pari passu hypothecation charge on present and future fixed assets (plant and machinery) of the Packaging Segment with a 25% margin.

Loan 17
First pari passu charge over present and future operating fixed assets (plant and machinery) of the Packaging Segment with a 25% margin.

Loan 18
Joint pari passu charge over all present and future fixed assets of the Cement Segment for Rs 8,750 million.

Loan 19
Joint pari passu charge over all present and future fixed assets of the Cement Segment for Rs 2,625 million.

Loan 20
Ranking charge on pledge of shares for Rs 547 million.

Loan 21
Joint pari passu chargeover present and future fixed assets of the Cement Segment for Rs 2,400 million.

Loan 22
First pari passu charge over present and future operating fixed assets (land, building, plant and machinery) of the Packaging Segment.

Loan 23
All present and future plant and machinery of the Packaging Segment which shall be upgraded to pari passu charge within 180 days from the date of first drawdown with 20% margin.

Loan 24
Specific fixed asset plant and machinery of the Packaging Segment which shall be upgraded to pari passu charge within 180 days from the date of first drawdown with 25% margin.

7.2.2 The reconciliation of the carrying amount is as follows:

		2025	2024
		(Rupees in thousand)	
Opening balance		20,056,180	14,065,595
Disbursements during the year		1,879,007	12,602,529
Repayments during the year		(8,367,422)	(6,611,944)
		13,567,765	20,056,180
Current portion shown under current liabilities	-note 15	(1,095,383)	(4,645,033)
		12,472,382	15,411,147

8. Deferred government grant

This represents deferred grant recognised in respect of the benefit of below-market interest rate on the facilities as referred to in note 7.1 to these consolidated financial statements. The benefit has been measured as the difference between the fair value of the loan and the proceeds received. The Group used the prevailing market rate of mark-up/ profit at the date of disbursement for similar instruments to calculate fair values of respective loans. The discount rates used range from 7.34% to 7.76% per annum. The reconciliation of the carrying amount is as follows:

		2025	2024
		(Rupees in thousand)	
Opening balance		298,999	475,622
Deferred grant recognised during the year		-	-
Credited to profit or loss	-note 35	(133,818)	(176,623)
Closing balance		165,181	298,999
Current portion shown under current liabilities	-note 15	(83,624)	(128,767)
		81,557	170,232

There are no unfulfilled conditions or other contingencies attached to these grants.

9. Long term deposits

	2025	2024
Customers	801,522	438,466
Others	138,770	134,282
	940,292	572,748

These include interest free security deposits from stockists and suppliers and are repayable on cancellation/withdrawal of the dealership or on cessation of business with the Group. As per the agreements signed with these parties, the Group has the right to utilise the amounts for the furtherance of their business, hence, the amounts are not required to be kept in a separate account maintained in a scheduled bank. Therefore, the Group is in compliance with section 217 of the Companies Act, 2017. These deposits have not been carried at amortised cost since the effect of discounting is immaterial in the context of these consolidated financial statements.

10. Employee benefits obligations

		2025	2024
		(Rupees in thousand)	
Staff gratuity	- note 10.1	734,857	729,262
Accumulating compensated absences	- note 10.2	219,782	215,287
		954,639	944,549

10.1 Gratuity

The amounts recognised in the consolidated statement of financial position are as follows:

	2025	2024
	(Rupees in thousand)	
Present value of defined benefit obligation	1,608,666	1,462,680
Fair value of plan assets	(873,809)	(733,418)
Liability as at June 30	734,857	729,262

10.1.1 Movement in net liability for staff gratuity

	2025	2024
Net liability as at beginning of the year	729,262	657,255
Current service cost	122,044	114,613
Net interest on defined benefit obligation	201,295	193,037
Return on plan assets during the year	(109,301)	(96,124)
	214,038	211,526
Total remeasurements for the year charged to consolidated statement of comprehensive income	(41,666)	(56,343)
Contributions made by the Group during the year	(166,778)	(83,176)
Net liability as at end of the year	734,856	729,262

10.1.2 Movement in present value of defined benefit obligation

	2025	2024
Present value of defined benefit obligation as at beginning of the year	1,462,680	1,243,229
Current service cost	122,044	114,613
Interest cost	201,295	193,037
Payments against opening payables	(7,248)	(8,967)
Benefits paid during the year	(151,568)	(72,058)
Remeasurements:		
- Actuarial losses from changes in financial assumptions	(6,133)	(2,826)
- Experience adjustments	(12,404)	(4,348)
	(18,537)	(7,174)
Present value of defined benefit obligation as at end of the year	1,608,666	1,462,680

	2025	2024
	(Rupees in thousand)	

10.1.3 Movement in fair value of plan assets

	2025	2024
Fair value of plan assets as at beginning of the year	733,418	585,974
Interest income on plan assets	109,301	96,124
Contributions during the year	166,778	83,176
Benefits paid during the year	(158,817)	(81,025)
Remeasurements in fair value of plan assets	23,129	49,169
Fair value of plan assets as at end of the year	873,809	733,418

10.1.4 Plan assets

Plan assets are comprised as follows:

	2025		2024	
	(Rs in '000')	Percentage	(Rs in '000')	Percentage
Cash and bank balances	6,810	1%	4,304	1%
Debt instruments	866,999	99%	729,114	99%
	873,809	100.00%	733,418	100.00%

	2025	2024
	(Rupees in thousand)	

10.1.5 Charge for the year

	2025	2024
Current service cost	122,044	114,613
Interest cost	201,295	193,037
Interest income on plan assets	(109,301)	(96,124)
Total expense for the year	214,038	211,526

10.1.6 Total remeasurements charged to consolidated statement of comprehensive income

	2025	2024
Actuarial (gain) / loss from changes in financial assumptions	(6,133)	(2,826)
Experience adjustments	(12,404)	(4,348)
	(18,537)	(7,174)
Remeasurements in plan assets, excluding interest income	(23,129)	(49,169)
	(41,666)	(56,343)

10.1.7 Assumptions used for valuation of the gratuity are as under:

		2025	2024
Discount rate per annum	Per annum	11.75%	14.75%
Expected increase in eligible salary level per annum	Per annum	10.75%	13.75%
Duration of plan	Number of years	7	7
Expected withdrawal and early retirement rate		SLIC 2001-2005 mortality table	SLIC 2001-2005 mortality table

10.1.8 The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is:

	Change in assumptions			Impact on defined benefit obligation				
				Increase in assumption			Decrease in assumption	
	2025	2024		2025	2024		2025	2024
Discount rate	-3.00%	-1.50%	Decrease by	7.72%	7.29%	Increase by	5.73%	6.19%
Salary growth rate	-3.00%	-1.50%	Increase by	5.80%	6.26%	Decrease by	7.89%	7.46%

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

10.1.9 Risks associated with the defined benefit plan

- Final salary risk (linked to inflation risk)
The risk that the final salary at the time of cessation of service is greater than what is currently assumed. Since, the benefit is calculated on the final salary (which will closely reflect inflation and other macroeconomic factors), the benefit amount increases as salary increases.

- Demographic risks
Mortality risk - The risk that the actual mortality experience is different than the assumed mortality. This effect is more pronounced in schemes where the age and service distribution is on the higher side.

Withdrawal risk - The risk of actual withdrawals experience is different from assumed withdrawal probability. The significance of the withdrawal risk varies with the age, service and the entitled benefits of the beneficiary.

- Investment risk
– The risk of the investment underperforming and being not sufficient to meet the liabilities.

10.1.10 Expected contribution to the defined benefit plan for the year ending June 30, 2026 is Rs 208.455 million.

10.1.11 The weighted average duration of the defined benefit obligation is 7 years (2024 – 7 years). The expected benefit payment for the next 10 years and beyond is as follows:

	Less than a year	Between 1 to 2 years	Between 2 to 5 years	Over 5 years	Total
	(Rupees in thousand)				
June 30, 2025	208,455	184,304	495,158	10,702,433	11,590,350
June 30, 2024	196,330	153,818	580,875	20,221,859	21,152,882

		2025	2024
		(Rupees in thousand)	

10.2 Accumulating compensated absences

		2025	2024
Opening balance		215,287	192,259
Charged to profit or loss		90,752	98,528
Payments made during the year		(31,251)	(74,803)
Liability as at year end		274,788	215,984
Current portion shown under current liabilities	- note 15	(55,006)	(697)
		219,782	215,287

	2025	2024
	(Rupees in thousand)	

10.2.1 Movement in liability for accumulating compensated absences

	2025	2024
Present value of accumulating compensated absences as at beginning of the year	215,287	192,259
Current service cost	80,220	78,033
Interest cost	25,391	25,108
Benefits due but not paid	(55,006)	(697)
Benefits paid during the year	(31,251)	(74,803)
Actuarial gain from changes in financial assumptions	(871)	(431)
Remeasurement in respect of experience adjustments	(13,988)	(4,182)
Present value of accumulating compensated absences as at year end	219,782	215,287

10.2.2 Charge for the year

	2025	2024
Current service cost	80,220	78,033
Interest cost	25,391	25,108
Remeasurement during the year	(14,859)	(4,613)
Total expense for the year	90,752	98,528

10.2.3 Assumptions used for valuation of the accumulating compensated absences are as under:

		2025	2024
Discount rate	Per annum	11.75%	14.75%
Expected rate of increase in salary	Per annum	10.75%	13.75%
Duration of the plan	Number of years	2	3
Expected withdrawal and early retirement rate		SLIC 2001-2005 mortality table	SLIC 2001-2005 mortality table

10.2.4 The sensitivity of the accumulating compensated balances to changes in the weighted principal assumptions is:

	Change in assumptions			Impact on accumulating compensated balances				
				Increase in assumption			Decrease in assumption	
	2025	2024		2025	2024		2025	2024
Discount rate	-3.00%	-1.50%	Decrease by	6.98%	6.97%	Increase by	7.99%	7.98%
Salary growth rate	-3.00%	-1.50%	Increase by	7.91%	7.89%	Decrease by	7.03%	7.01%

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the accumulating leave absences to significant actuarial assumptions the same method (present value of the accumulating compensated absences calculated with the projected unit credit method at the end of the reporting period) has been applied for valuation of balance of accumulating compensated absences in the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

10.2.5 Risks associated with the accumulating compensated absences

- Final Salary Risk (linked to inflation risk) The risk that the final salary at the time of cessation of service is greater than what we assumed. Since, the benefit is calculated on the final salary (which will closely reflect inflation and other macroeconomic factors), the benefit amount increases as salary increases.

- Demographic risks Mortality Risk - The risk that the actual mortality experience is different than the assumed mortality. This effect is more pronounced in schemes where the age and service distribution is on the higher side.

Withdrawal risk - The risk of actual withdrawals experience is different from assumed withdrawal probability. The significance of the withdrawal risk varies with the age, service and the entitled benefits of the beneficiary.

- Investment Risk The risk of the investment underperforming and being not sufficient to meet the liabilities

11. Deferred taxation

The net liability for deferred taxation comprises temporary taxable/(deductible) differences, unused tax credits and unused tax losses relating to:

		2025	2024
		(Rupees in thousand)	
Deferred tax liability			
Accelerated tax depreciation		18,852,346	18,683,496
Un-realised gain on investments - net		2,183,713	3,177,696
Gain arising from changes in fair value of biological assets		494,400	448,955
		21,530,459	22,310,147
Deferred tax asset			
Available unused minimum tax credit		(1,500,076)	(1,430,125)
Available unused Alternative Corporate Tax credit		(774,517)	(531,592)
Available unused tax losses		(4,598,260)	(6,336,912)
Loss allowance on financial assets		(128,606)	(126,550)
Employee benefit obligations		(393,762)	(368,645)
Others		(34,541)	(20,977)
		(7,429,762)	(8,814,801)
		14,100,697	13,495,346

The gross movement in net deferred tax liability during the year is as follows:

		2025	2024
Opening balance		13,495,346	11,306,527
Charged to other comprehensive income		(977,734)	1,277,973
Charged to statement of profit or loss	- note 37	1,234,187	910,846
Loss utilised under group relief arrangement as per section 59B of the Income Tax Ordinance, 2001		348,898	-
Closing balance		14,100,697	13,495,346

Deferred tax asset on tax losses and tax credits available for carry forward have been recognised to the extent that the realisation of related tax benefits is probable from reversal of existing taxable temporary differences and future taxable profits. Based on the Company's approved business plan, it is probable that sufficient taxable profits will be available for utilisation of deferred tax asset.

		2025	2024
		(Rupees in thousand)	
12. Trade and other payables			
Trade creditors	- note 12.1	3,467,474	6,337,625
Bills payable		844,947	181,408
Infrastructure cess		1,864,084	399,335
Contract liability	- note 12.2	3,186,488	1,722,828
Accrued liabilities	- note 12.3	3,612,587	3,956,070
Workers' Profit Participation Fund	- note 12.4	729,739	206,606
Workers' Welfare Fund	- note 12.5	274,821	56,263
Sales tax payable		162	42
Federal Excise Duty Payable		-	42,970
Withholding tax payable		12,506	39,734
Retention money payable		35,102	38,197
Export commission payable		308,695	220,506
Others	- note 12.6	102,174	118,353
		14,438,779	13,319,937

12.1 Trade creditors includes amount due to the following related parties:

	2025	2024
Nishat Agriculture Farming (Private) Limited	-	78,867
Security General Insurance Company Limited	1,150	1,201
Adamjee Insurance Company Limited	271	-
Pakistan Aviators and Aviation (Private) Limited	393	512
Nishat Hotels and Properties Limited	2,226	173
Provident Fund Trust (Nishat Packaging Company Limited)	850	-
	4,890	80,753

12.2 This represents contract liabilities of the Group towards various parties. Revenue recognised in the current year that was included in the contract liability balance of the Group at the beginning of the year amounts to Rs 1,475.192 million (2024: Rs 1,214.787 million).

12.3 Includes Gas Infrastructure Development Cess ('GIDC') amounting to Rs. 1,345.019 million (2024: Rs. 1,345.019 million) that was levied through GIDC Act, 2015. The Supreme Court of Pakistan (SCP) through its judgment dated August 13, 2020 has declared GIDC Act, 2015 a valid legislation. Under the judgement, all gas consumers including the Group were ordered to pay the outstanding GIDC liability as at July 31, 2020 to the Government of Pakistan in 24 equal monthly instalments. The Group has partially paid GIDC amounting to Rs 84.5 million. The Group also filed a Suit with the Sindh High Court against collection of GIDC instalments, before a factual determination of GIDC passed on to end consumers or not is carried out. The Sindh High Court granted a stay in March 2021 against recovery of GIDC payable from the Group till the finalisation of matter by the Court. The matter is currently pending in the Sindh High Court. The Group has followed the relevant accounting standards and guidelines of the Institute of Chartered Accountants of Pakistan (ICAP) in this regard.

Furthermore, this includes includes provision in respect of royalty expense on limestone and argillaceous clay for the province of Punjab. The cement segment alongwith other petitioners has contested the calculation of royalty as per notification of Mines & Mineral Department, Government of the Punjab dated August 1, 2024 before the honorable Supreme Court (SC). The SC through order dated June 25, 2025 has given interim relief to the Group by maintaining status quo till the decision of the petition.

12.3.1 Trade and other payables include provision for royalty expense (including the aforementioned provision in respect of royalty expense on limestone and argillaceous clay for the province of Punjab) amounting to Rs. 787.318 million as at June 30, 2025 (June 30, 2024: Rs. 198.453 million). During the year, expense amounting to Rs. 2,848.805 million was recognised, while payments amounting to Rs. 2,259.940 million were made by the Group.

		2025	2024
		(Rupees in thousand)	

12.4 Workers' profit participation fund

The reconciliation of carrying amount is as follows:

		2025	2024
Opening balance		206,606	243,179
Provision for the year	- note 33	486,896	-
Interest for the year	- note 35	36,237	2,787
		729,739	245,966
Payments made during the year		-	(39,360)
Closing balance		729,739	206,606

12.5 Workers' Welfare fund

The reconciliation of carrying amount is as follows:

		2025	2024
Opening balance		56,263	32,673
Provision for the year	- note 33	218,558	23,590
		274,821	56,263
Payments made during the year		-	-
Closing balance		274,821	56,263

12.6 Includes payable to employees' provident fund amounting to Nil (2024: Rs 45.217 million).

13. Short term borrowings from financial institutions - secured

		2025	2024
		(Rupees in thousand)	
From banking companies:			
Short term running finances / short term borrowings			
- Commerical banks		3,086,652	3,779,368
- Islamic banks		510,875	2,270,850
	- note 13.1	3,597,527	6,050,218
Import finances			
- Commerical banks		-	5,543,161
- Islamic banks		-	-
	- note 13.2	-	5,543,161
Export finances			
- Commerical banks		7,849,567	2,615,000
- Islamic banks		900,000	900,000
	- note 13.3	8,749,567	3,515,000
		12,347,094	15,108,379

13.1 Short term running finances / short term borrowings

Short term running finance facilities and short term borrowings available from various banks under mark-up / profit arrangements aggregate to Rs 42,475 million (2024: Rs 43,850 million). Such facilities are available at mark-up / profit rates ranging from one to three months KIBOR minus 4.50% to KIBOR plus 1.50% (2024: One to three months KIBOR minus 0.05% to KIBOR plus 1%) per annum. The mark-up / profit rate charged during the year on the outstanding balance ranged from 7.74% to 22.84% (2024: 17.95% to 24.16%) per annum and mark-up / profit is payable monthly to quarterly. These are secured by ranking / joint registered pari passu charge on all present and future current assets of the Group wherever situated including stores and spares, stock in trade, book debts, investments and receivables.

13.1.1 This includes short term running finance amounting to Rs 719.448 million from MCB Bank Limited and Rs 1.466 million from MCB Islamic Bank Limited - related parties.

13.2 Import finances - secured

Import finance facilities available from various commercial banks under mark-up arrangements aggregate to Rs 21,100 million (2024: Rs 24,650 million). Such facilities are available at mark-up rates ranging from one to six months KIBOR minus 0.15 % to KIBOR plus 0.50% (2024: one to six months KIBOR plus 0.02% to 0.07%) per annum. The mark-up rate charged during the year on the outstanding balance ranged from 12.08% to 21.45% (2024: 21.12% to 23.21%) per annum and markup is payable on settlement. These are secured by ranking / joint registered pari passu charge on all present and future current assets of the Group wherever situated including stores and spares, stock in trade, book debts, investments and receivables.

13.3 Export finances - secured

Export finance facilities available from various banks under mark-up / profit arrangements aggregate to Rs 19,950 million (2024: Rs 14,250 million). Such facilities are available at mark-up / profit rate agreed as per State Bank of Pakistan plus 0.25% to 1.00% (2024: State Bank of Pakistan agreed rate plus 0.25% to 1.00%) per annum. The Export Finance Scheme rate has ranged from 8.25% to 17.5% (2024: 16% to 18%) throughout the year. These loans are obtained for a period of 180 days and are secured by ranking / joint registered pari passu charge on all present and future current assets of the Group wherever situated including stores and spares, stock in trade, book debts, investments and receivables.

13.3.1 This includes export finance amounting to Rs 500 million from MCB Bank Limited - a related party.

13.4 Letters of credit and guarantees

Of the aggregate facility of Rs 53,859 million (2024: Rs 52,895 million) for opening letters of credit and Rs 4,850 million (2024: Rs 5,350 million) for guarantees, all being either main limits or sub-limits of the facilities, the amount utilised as at June 30, 2025 was Rs 2,170 million (2024: Rs 2,036 million) and Rs 3,953 million (2024: Rs 3,806 million) respectively.The facilities for opening letters of credit are secured against lien over import documents whereas aggregate facilities for guarantees are secured against registered joint pari passu charge over the present and future current assets of the Group. Of the facility for guarantees, Rs 14.48 million (2024: Rs 14.48 million) is secured by a lien over bank deposits as referred to in note 28.2.

14. Accrued markup

		2025	2024
		(Rupees in thousand)	
Accrued mark-up/interest on:			
- Long term finances - secured	- note 14.1	318,999	562,443
- Short term borrowings - secured	- note 14.2	231,954	854,592
		550,953	1,417,035

14.1 This includes accrued interest relating to commercial banks of Rs. 66.18 million (2024: 353.09 million) and profit relating to Islamic banks of Rs 252.82 million (2024: 209.35 million).

14.2 This includes accrued interest relating to commercial banks of Rs. 200.05 million (2024: 715.08 million) and profit relating to Islamic banks of Rs 31.90 million (2024: 139.51 million).

15. Current portion of non-current liabilities

		2025	2024
		(Rupees in thousand)	
Loans under refinance scheme	- note 7.1.2	848,392	803,213
Long term finances	- note 7.2.2	1,095,383	4,645,033
Accumulating compensated absences	- note 10.2	55,006	697
Deferred government grant	- note 8	83,624	128,767
		2,082,405	5,577,710

16. Contingencies and commitments

16.1 Contingencies

Contingent assets:

16.1.1 The matter relating to interpretation of provisions of section 4(2) of the repealed Central Excise Act, 1944 ('1944 Act') has been decided by the honourable Supreme Court of Pakistan through its judgment dated January 27, 2009 (upholding its previous judgment dated February 15, 2007). The longstanding controversy between the Revenue Department and the taxpayers primarily related to the interpretation of the provisions of section 4(2) of the 1944 Act wherein the department had a view that excise duty shall be included as a component for determination of the value (retail price) for levying excise duty. The departmental view was challenged by the taxpayers in appeals before the honourable High Court(s) of Pakistan which, duly appreciating the contentions of the taxpayers, overturned the departmental view and succeeded the appeals.

Now, since the controversy has attained finality up to the highest appellate level, the Cement segment has initiated the process of claiming refund of excess excise duty paid by it during the periods from 1994 to 1999 which aggregates Rs 1,115.145 million. The amount of refund, however, shall be incorporated in the books of account once it is realized by the cement segment.

16.1.2 The Income Tax Officer, while framing the assessments for the assessment years 1984-85 to 1990-91, has taxed the income of the Cement segment on account of the interest on the deposits and sale of scrap etc. The Appellate Tribunal on appeal filed by the cement segment issued an order in favour of the cement segment for the assessment years 1984-85 to 1990-91. The Income Tax Department filed reference before the Lahore High Court. Pending final outcome of such reference, no adjustment has been made in these financial statements for the relief granted by the Appellate Tribunal aggregating to Rs 35.090 million.

Contingent liabilities:

16.1.3 During the period 1994 to 1996, the cement segment imported plant and machinery relating to expansion unit, for which exemption was claimed under various SROs from the levy of custom duty and other duties including sales tax. As per the provisions of SRO 484(I)/92, 978(I)/95 and 569(I)/95, the exemption from the statutory duty would be available only if the said plant and machinery was not manufactured locally. However, the Custom Authorities rejected the claim of the cement segment by arguing that the said machinery was on the list of locally manufactured machinery, published by the Federal Board of Revenue. Consequently, the Cement segment appealed before the Lahore High Court, Multan Bench, which allowed the Cement segment to release the machinery on furnishing indemnity bonds with the Custom Authorities.

Collector of Customs and Central Excise, Multan, passed an order dated November 26, 1999, against the cement segment on the grounds that the said machinery was being manufactured locally during the time when it was imported.

After various appeals at different forums, the honourable Supreme Court of Pakistan remanded the case back to the Customs Authorities to reassess the liability of the cement segment. The custom authorities re-determined the liability of the Cement segment upon which the Cement segment preferred an appeal to the Customs Appellate Tribunal. The Tribunal decided the case in favour of the Cement segment, upon which the Cement segment discharged all liabilities. However, the custom authorities preferred a reference to the Lahore High Court, Multan Bench on November 19, 2013. Last hearing of the case was conducted on June 25, 2018. In case of any adverse decision, the management assesses liability to the tune of Rs 233.390 million. No provision for this amount has been made in the financial statements as according to the management of the cement segment, there are meritorious grounds that the ultimate decision would be in its favour.

16.1.4 The Competition Commission of Pakistan ('the CCP') took suo moto action under Competition Ordinance, 2007 and issued Show Cause Notice on October 28, 2008 for increase in prices of cement across the country. Similar notices were also issued to All Pakistan Cement Manufacturers Association ('APCMA') and its member cement manufacturers. The cement segment filed a Writ Petition in the Lahore High Court. The Lahore High Court, vide its order dated August 24, 2009 allowed the CCP to issue its final order. The CCP accordingly passed an order on August 28, 2009 and imposed a penalty of Rs 933 million on the cement segment. The Lahore High Court vide its order dated August 31, 2009 restrained the CCP from enforcing its order against the Cement segment for the time being.

The vires of the Competition Commission of Pakistan were challenged by a large number of petitioners and all had been advised by their legal counsels that prima facie the Competition Ordinance, 2007 is ultra vires of the Constitution of Pakistan. Pursuant thereto, the Parliament enacted the Competition Commission Ordinance, 2009 which was also challenged by the Cement segment before the Lahore High Court. All these petitions were eventually disposed off with the direction to the Competition Appellate Tribunal ('CAT') to decide the Appeals on merits. In the meantime, owing to the amendments brough into the law by virtue of the Competition Act, 2010, the Honourable Supreme Court of Pakistan also remanded the matter to the CAT for decision on merits. The cement segment thereafter challenged sections 42, 43 and 44 of the Competition Act, 2010 in the Sindh High Court. The Honourable Sindh High Court upon petition filed by large number of petitioners gave direction to CAT to continue with the proceedings and not to pass a final order till the time petition is pending in Sindh High Court. However, on Feburary 24, 2025 the Sindh High Court vacated the interim order thereby allowing the CAT to pass a final order. The Appeal was recently heard by the CAT on merits and has been reserved for Judgment. No provision for this amount has been made in the financial statements as according to the management of the Cement segment, there are meritorious grounds that the ultimate decision would be in the Cement segment's favour.

16.1.5 The Cement segment, consequent to the order-in-appeal passed by the learned Customs, Federal Excise and Sales Tax Appellate Tribunal, Lahore, filed a petition before the Lahore High Court on March 27, 2008, challenging the levy of sales tax on the in-house consumption of Shale, Gypsum and Limestone for the period from June 13, 1997 to August 11, 1998. Last hearing of the case was conducted on December 17, 2015. According to the legal counsel of the cement segment, meritorious grounds exist to support the position of the cement segment and the ultimate decision would be in the Cement segment's favour, therefore the liability has not been incorporated in these financial statements amounting to Rs 212.239 million.

16.1.6 Commissioner Inland Revenue amended the assessments made for tax years 2016 and 2017 through order passed under 122 (5A) of the Income Tax Ordinance, 2001 and disallowed the adjustments on account of brought forward 'minimum' taxes of Rs 72.653 Million and Rs 44.850 Million claimed under section 113 and 113C of the Income Tax Ordinance, 2001 against normal tax liabilities pertaining to tax year 2016 and 2017 respectively. The Packaging segment preferred an appeal before the Commissioner Inland Revenue (CIR) (Appeals) against the order.

The CIR (Appeals) upheld the claim of the packaging segment in order 31/A-V dated July 30, 2021 for tax credit under section 113 and 113C of the Income Tax Ordinance, 2001 and disposed the appeal. The Department has preferred an appeal before ATIR which has not been taken up for hearing.

16.1.7 The banks have issued the following guarantees on Group's behalf in favour of:

- Collector of Customs, Excise and Sales Tax against levy of sales tax, custom duty and excise amounting to Rs 30.538 million (2024: Rs 30.538 million).

- Director, Excise Collection Office, Sindh Development and Maintenance against recovery of infrastructure fee amounting to Rs 1,617.900 million (2024: Rs 1,527.900 million).

- The President of the Islamic Republic of Pakistan against the performance of a contract to Frontier Works

Organization amounting to Rs 0.5 million (2024: Rs 0.5 million).

- Sui Northern Gas Pipelines Limited against supply of 6 MMCFD and 14 MMCFD gas for captive use at plants at Khairpur and at D.G. Khan respectively amounting to Rs 544.414 million (2024: Rs 544.414 million).

- Sindh High Court against levy of sales tax, custom duty and excise amounting to Rs 176.860 million (2024: Rs 228.174 million).

- Pakistan Railways against supply of cement amounting to Nil (2024: Rs 10.808 million).

- Directorate General of Mines & Minerals, Punjab against enhanced royalty rates on minerals amounting to Rs 291.716 million (2024: Rs 172.08 million).

- K-Electric against security deposits for electricity bills amounting to Rs 193.713 million (2024: Rs 142.400 million).

- Director excise and taxation, Karachi under direction of Sindh High Court in respect of suit filed for levy of infrastructure cess amounting to Rs 40 million (2024: Rs 30 million).

- Sui Northern Gas Pipelines Limited against connection of gas supply for Sukheki Farm amounting to Rs 16.8 million (2024: 26.6 million).

- Directorate General of Customs Valuation, Custom House Karachi on account of valuation ruling amounting to Rs. 21.7 million (2024: Rs. 22.65 million).

- The Director Excise and Taxation Karachi on account of infrastructure development cess amounting to Rs. 288.7 million (2024: Rs. 197.42 million).

- Controller of Military Accounts (Defence Purchase) Rawalpindi against sale of cement amounting to Rs 37.726 million (2024: Nil).

16.1.8 The Cement segment has provided a guarantee to Meezan Bank Limited (MBL) against the loan provided by MBL to Hyundai Nishat Motor (Private) Limited, a related party, amounting to Rs 1,060.186 million (2024: Rs 1,149.328 million).

16.2 Commitments in respect of:

(i) Contracts for capital expenditure Rs 50.206 million (2024: Rs 107.609 million).

(ii) Letters of credit for capital expenditure Nil (2024: Rs 48.046 million).

(iii) Letters of credit other than capital expenditure Rs 419.454 million (2024: Rs 1,573.272 million).

(iv) The amount of future payments under leases and the period in which these payments will become due are as follows:

	2025	2024
	(Rupees in thousand)	
Not later than one year	412	425
Later than one year and not later than five years	1,650	1,650
Later than five years	2,648	3,061
	4,710	5,136

17. Property, plant and equipment

		2025	2024
Operating fixed assets	- note 17.1	82,693,393	81,839,481
Capital work-in-progress	- note 17.2	878,378	1,689,590
Major spare parts and stand-by equipment	- note 17.3	311,635	330,315
		83,883,406	83,859,386

17.1 Operating fixed assets

2025

(Rupees in thousand)

	Annual rate of depreciation %	Cost as at July 01, 2024	Additions / (deletions)	Reclassification from assets held for sale	Cost as at June 30, 2025	Accumulated depreciation as at July 01, 2024	Depreciation charge/ (deletions) for the year	Reclassification to assets held for sale	Accumulated depreciation as at June 30, 2025	Book value as at June 30, 2025
Freehold land - note 17.1.2	-	2,767,592	33,200	-	2,800,792	-	-	-	-	2,800,792
Leasehold land	3.33	263,000	-	-	263,000	68,540	8,767	-	77,307	185,693
Buildings on freehold land and										
leasehold land										
- Factory building	5 to 10	25,673,027	1,133,005	-	26,806,032	10,740,866	804,861	-	11,545,727	15,260,305
- Office building and										
housing colony	5	4,097,630	691,226	-	4,788,856	1,284,766	143,364	-	1,428,130	3,360,726
Roads	10	2,470,394	-	-	2,470,394	1,294,777	117,562	-	1,412,339	1,058,055
Plant and machinery	3 to 9	84,383,585	2,824,785	-	86,883,469	29,611,650	2,382,820	-	31,824,879	55,058,590
			(324,901)				(169,591)			
Factory equipment	10	75,091	1,282	-	76,373	47,651	9,980	-	57,631	18,742
Quarry equipment	10	4,420,051	3,500	-	4,416,981	2,648,644	133,611	-	2,780,224	1,636,757
			(6,570)				(2,031)			
Furniture, fixture and										
office equipment	10 to 30	1,304,473	196,910	-	1,501,022	957,534	129,643	-	1,087,177	413,845
			(361)							
Vehicles	20	1,410,875	257,010	-	1,591,806	735,682	134,738	-	829,953	761,853
			(76,079)				(40,467)			
Aircraft Parts	30	328,750	5,741	-	334,491	323,710	3,234	-	326,944	7,547
Power and water supply lines	10	4,513,644	401	-	4,514,045	2,154,811	228,746	-	2,383,557	2,130,488
		131,708,112	5,147,060	-	136,447,261	49,868,631	4,097,326	-	53,753,868	82,693,393
			(407,911)				(212,089)			

2024

(Rupees in thousand)

	Annual rate of depreciation %	Cost as at July 01, 2023	Additions / (deletions)	Reclassification to assets held for sale	Cost as at June 30, 2024	Accumulated depreciation as at July 01, 2023	Depreciation charge/ (deletions) for the year	Reclassification to assets held for sale	Accumulated depreciation as at June 30, 2024	Book value as at June 30, 2024
Freehold land - note 17.1.2	-	2,393,394	374,198	-	2,767,592	-	-	-	-	2,767,592
Leasehold land	3.33	263,000	-	-	263,000	59,773	8,767	-	68,540	194,460
Buildings on freehold land and										
leasehold land										
- Factory building	5 to 10	25,506,282	166,745	-	25,673,027	9,911,296	829,570	-	10,740,866	14,932,161
- Office building and										
housing colony	5	4,039,988	57,642	-	4,097,630	1,138,351	146,415	-	1,284,766	2,812,864
Roads	10	2,468,340	2,054	-	2,470,394	1,164,328	130,449	-	1,294,777	1,175,617
Plant and machinery	3 to 9	82,735,404	1,533,473	322,708	84,383,585	27,245,833	2,310,582	150,070	29,611,650	54,771,935
			(208,000)				(94,835)			
Factory equipment	10	74,521	570	-	75,091	44,648	3,003	-	47,651	27,440
Quarry equipment	10	4,479,526	-	-	4,420,051	2,541,726	149,274	-	2,648,644	1,771,407
			(59,475)				(42,356)			
Furniture, fixture and										
office equipment	10 to 30	1,219,653	85,349	-	1,304,473	832,344	125,437	-	957,534	346,939
			(529)				(247)			
Vehicles	20	1,330,800	157,919	-	1,410,875	667,448	120,573	-	735,682	675,193
			(77,844)				(52,339)			
Aircraft Parts	30	331,522	-	-	328,750	321,551	2,159	-	323,710	5,040
			(2,772)							
Power and water supply lines	10	4,225,367	288,277	-	4,513,644	1,905,865	248,946	-	2,154,811	2,358,833
		129,067,797	2,666,227	322,708	131,708,112	45,833,163	4,075,175	150,070	49,868,631	81,839,481
			(348,620)				(189,777)			

17.1.1 Freehold land and building include book values of Rs 12 million (2024: Rs 12 million) and Rs 3.821 million (2024: Rs 4.252 million) respectively which are held in the name of the Chief Executive of the Cement Segment. This property is located in the locality of Defence Housing Authority, Lahore, where the bye-laws restrict transfer of title of the residential property in the name of the Group.

17.1.2 Following are the particulars of the Group's immovable fixed assets:

	Location	Usage of immovable property	2025	2024
			Total Area (in Acres)	
Cement segment	Hub, Mauza Chichai, Balochistan	Plant site and staff colony	1462.50	1462.50
	Khairpur district, Chakwal, Punjab	Plant site and staff colony	901.50	901.50
	Kanrach Nai, District Lasbela, Balochistan	Source of raw material	723.14	723.14
	Dera Ghazi Khan, Punjab	Plant site and staff colony	590.00	590.00
	Lakho Dair, Lahore, Punjab	Processing site	44.00	44.00
	Gulberg, Lahore, Punjab	Administrative offices	1.50	1.50
	Others	Sales offices	0.28	0.28
Dairy segment	Moza Katrani Tehsil Pindi Bhattian, District Hafizabad, Sukheki	Plant site	214.57	214.57
	Moza Harsa Attla Tehsil Pindi Bhattian, District Hafizabad, Sukheki	Plant site	0.75	0.75
Packaging segment	Hub, Mauza Chichai, Balochistan	Plant Site	8.00	8.00
	Quaid e Azam Business Park, Sheikhupura	Plant Site	8.00	-

17.1.3 The depreciation charge for the year has been allocated as follows:

		2025	2024
		(Rupees in thousand)	
Cost of sales	- note 30	3,968,448	3,973,984
Administrative expenses	- note 31	113,853	87,850
Selling and distribution expenses	- note 32	15,025	13,339
		4,097,326	4,075,173

17.1.4 Book values of operating fixed assets consist of the following with respect to operating segments:

	Cement segment		Packaging segment		Dairy segment		Total	
	2025	2024	2025	2024	2025	2024	2025	2024
	(Rupees in thousand)							
Plant and machinery	51,470,070	53,017,835	2,992,026	1,101,809	466,703	512,424	54,928,799	54,632,068
All other assets	24,672,542	25,188,666	1,754,395	633,673	1,337,656	1,385,075	27,764,593	27,207,414
Total	76,142,612	78,206,501	4,746,421	1,735,482	1,804,359	1,897,499	82,693,392	81,839,482

17.1.5 Sale of operating fixed assets

Detail of operating fixed assets sold during the year is as follows:

2025 (Rupees in thousand)

Particulars of assets	Sold to	Cost	Book value	Sale proceeds	Gain / (Loss) on sale	Mode of sale
Plant & Machinery	**Outside party**					
	M/s Eastern Dairy	7,424	2,193	2,000	(193)	Auction
	M/s Prime Verde Bags Company	322,708	153,116	678,037	524,920	Auction
Quarry Equipment	**Outside party**					
	M/s Caterpillar	6,570	4,540	6,570	2,030	Auction
Vehicles	**Outside party**					
	Mr. Muneeb Ahmed	4,548	1,149	6,704	5,555	Auction
	Mr. Ali Subhani	3,476	1,061	6,451	5,390	-do-
	Mr. Asad Ali	1,704	416	2,875	2,459	-do-
	Mr. Khurram Imtiaz	3,132	736	5,657	4,921	-do-
	M/s Kausar Sons Leisure Private Limited	31,065	17,734	25,000	7,266	-do-
	Mr. Sultan Mohammad	54	6	18	12	-do-
	Mr. Abdul Rahim	70	26	64	38	-do-
	Mr. Furqan Ahmed	1,250	373	1,930	1,557	-do-
	Mr. Muhammad Umer	64	20	56	36	-do-
	Mr. Mohammad Farooq	2,163	584	3,368	2,784	-do-
	Mr. Khalil Ahmad	1,127	279	1,400	1,121	-do-
	Mr. Asim Mumtaz	1,931	483	3,708	3,225	-do-
	Mr. Saeed Ali	5,098	872	6,728	5,855	-do-
	M/s S&R Agri Farms	20,708	2,504	3,118	614	-do-
	Mr. Abdul Basit	2,179	859	2,541	1,682	-do-
	Employees					
	Brid. (R) Jawed Akhtar	2,299	772	772	-	As per Group Policy
	Maj.(R) Aslam Pervaiz	2,306	741	741	-	-do-
	Mr. Khalid Mehmood Khalid	1,923	525	430	(95)	-do-
	Mr. Mukhtar Hussain Shafqat	2,512	1,294	1,294	-	-do-
	Mr. Malik Abdul Majeed	2,219	685	685	-	-do-
	Col. (R) Taimur Malik	2,244	614	606	(8)	-do-
	Mr. Syed Javed Hussain Zaidi	1,924	491	491	-	-do-
	Mr. Imran Razzak	1,716	604	604	-	-do-
	Mr. Muhammad Ramzan	2,054	723	723	-	-do-
	Mr. Ali Abdullah	2,767	986	1,473	488	-do-
	Mr. Muhammad Naeem	2,182	930	1,255	326	-do-

2024 (Rupees in thousand)

Particulars of assets	Sold to	Cost	Book value	Sale proceeds	Gain / (Loss) on sale	Mode of sale
Plant & Machinery	**Outside party**					
	M/s Latif & Brothers					
	M/s Gulzar & Brothers	208,000	113,165	33,638	(79,527)	As per Group Policy
Quarry Equipment	**Related party**					
	Security General Insurance Company Limited	59,475	17,119	68,063	50,944	Insurance claim
Vehicles	**Outside party**					
	Agha Ali	26,607	7,445	18,000	10,555	Auction
	Muhammad Awais	4,577	1,358	7,556	6,198	-do-
	Syed Salman Ali	2,503	585	3,377	2,792	-do-
	Related party					
	Security General Insurance Company Limited	8,153	6,499	9,523	3,024	Insurance claim
	Employees					
	Muhammad Nasrullah	2,455	1,582	1,582	-	As per Group Policy
	Syed Ghulam Mujtaba	2,384	1,031	1,031	-	-do-
	Abdul Ghani Nizamani	2,335	970	970	-	-do-
	Amin Uddin	1,751	632	632	-	-do-
	Elahi Baksh	2,100	606	606	-	-do-
	Amir Noor	2,062	668	3,278	2,610	Auction
	Arif Sattar	1,651	549	3,020	2,471	-do-

17.2 Capital work-in-progress

2025 (Rupees in thousand)

	Balance as at July 1, 2024	Capital expenditure incurred during the year	Borrowing cost capitalized during the year	Charged off during the year	Transfers within capital work-in-progress	Transfers to operating fixed assets	Transfers to major spare parts and stand by equipment	Balance as at June 30, 2025
Civil works	1,013,263	3,182,366	-	(895)	(116,781)	(4,000,752)	-	77,201
Plant and machinery	540,006	839,924	-	-	(253,875)	(496,758)	(2,659)	626,638
Advances to suppliers and contractors - note 17.2.1	110,943	281,013	-	-	(249,813)	-	-	142,143
Others								
- Intangible assets	16,051	633	-	-	-	-	-	16,684
- Unallocated capital expenditure	9,327	32,135	-	-	19,629	(45,379)	-	15,712
	1,689,590	4,336,071	-	(895)	(600,840)	(4,542,889)	(2,659)	878,378

2024 (Rupees in thousand)

	Balance as at July 1, 2023	Capital expenditure incurred during the year	Borrowing cost capitalized during the year	Charged off during the year	Transfers within capital work-in-progress	Transfers to operating fixed assets	Transfers to major spare parts and stand by equipment	Balance as at June 30, 2024
Civil works	776,270	789,852	-	(8)	(4,478)	(548,373)	-	1,013,263
Plant and machinery	1,252,075	1,592,761	-	(4,655)	(977,441)	(1,322,734)	-	540,006
Advances to suppliers and contractors	91,594	364,873	-	-	(345,524)	-	-	110,943
Others								
- Intangible assets	11,744	4,307	-	-	-	-	-	16,051
- Unallocated capital expenditure	34,603	27,585	26,722	(1,785)	-	(77,798)	-	9,327
	2,166,286	2,779,378	26,722	(6,448)	(1,327,443)	(1,948,905)	-	1,689,590

17.2.1 This represents advance paid to Pakistan Aviators and Aviation (Pvt.) Limited, a related party, of Nil (2024: 82.195 million) on account of capital expenditure related to the procurement of Aircraft Parts. The maximum aggregate amount receivable at the end of any month during the year was Rs 92.201 million (2024: Rs 83.915 million). The balances are neither past due nor impaired.

	2025	2024
	(Rupees in thousand)	

17.3 Major spare parts and stand-by equipment

The reconciliation of carrying amount is as follows:

	2025	2024
Balance at the beginning of the year	330,315	199,546
Additions during the year	21,643	202,433
	351,958	401,979
Transfers made during the year	(40,323)	(71,664)
Balance at the end of the year	311,635	330,315

17.4 All operating fixed assets of Cement and Packaging segments are pledged as security against long term finances as referred to in note 7.

18. Intangible assets

This represents computer software and related license(s). The reconciliation of carrying amount is as follows:

		2025	2024
		(Rupees in thousand)	
COST			
Balance as at July 01		77,655	21,500
Additions during the year		-	56,155
Balance as at June 30		77,655	77,655
AMORTIZATION			
Balance as at July 01		34,892	11,347
Charge for the year	- note 31	29,687	23,545
Balance as at June 30		64,579	34,892
Book value as at June 30		13,076	42,763
Annual amortization rate %		33.33% - 50%	33.33% - 50%

19. Biological assets

This represents dairy livestock. It consists of the following:

		2025	2024
- Mature		947,930	843,740
- Immature		337,390	323,260
- Bulls		1,478	436
	- note 19.1	1,286,798	1,167,436

19.1 Reconciliation of carrying amounts of dairy livestock

		2025	2024
Opening balance		1,167,436	1,150,612
Fair value gain due to new births		149,148	130,881
Changes in fair value (due to price change, exchange fluctuations and biological transformation)	- note 19.3	320,707	241,550
		469,855	372,431
Purchases during the year		7,650	13,300
Decrease due to deaths / livestock losses		(38,505)	(49,551)
Decrease due to sale of livestock		(319,638)	(319,356)
Carrying amount at the end of the year which approximates the fair value		1,286,798	1,167,436

19.2 As at June 30, 2025 the dairy segment held 3,634 (2024: 3,406) mature assets able to produce milk and 3,596 (2024: 3,488) immature assets that are being raised to produce milk in the future. During the year, 3,189 (2024: 3,096) were sold. During the year, the segment produced approximately 39.71 million (2024: 37.71 million) gross litres of milk from these biological assets. As at June 30, 2025, the dairy segment also held 4 (2024: 19) immature male calves.

19.3 The valuation of dairy livestock as at June 30, 2025 has been carried out by an independent valuer. In this regard, the valuer examined the physical condition of the livestock, assessed the key assumptions and estimates and relied on the representations made by the segment as at June 30, 2025. Further, market and replacement values of similar live stock from active markets in Pakistan have been used as basis of valuation model by the independent valuer. The milking animals have been classified according to their lactations. As the number of lactations increase, the fair value keeps on decreasing.

20. Investments

These represent the long term investments in:

		2025	2024
		(Rupees in thousand)	
- Related parties	- note 20.1	19,141,165	14,874,420
- Others	- note 20.2	553,140	339,177
		19,694,305	15,213,597

20.1 Related parties

		2025	2024
Associate - quoted - FVOCI:			
Nishat Mills Limited 30,289,501 (2024: 30,289,501) fully paid ordinary shares of Rs 10 each Equity held: 8.61% (2024: 8.61%) Cost - Rs 1,326.559 million (2024: Rs 1,326.559 million)		3,812,842	2,146,011
		3,812,842	2,146,011
FVOCI - quoted:			
Nishat (Chunian) Power Limited 5,683,067 (2024: 5,683,067) fully paid ordinary shares of Rs 10 each Equity held: 1.55% (2024: 1.55%) Cost - Rs 102.408 million (2024: Rs 102.408 million)		138,155	170,208
MCB Bank Limited 26,051,701 (2024: 25,915,699) fully paid ordinary shares of Rs 10 each Equity held: 2.201% (2024: 2.190%) Cost - Rs 806.061 million (2024: Rs 767.830 million)		7,511,748	5,883,404
Adamjee Insurance Company Limited 27,877,735 (2024: 27,877,735) fully paid ordinary shares of Rs 10 each Equity held: 7.97% (2024: 7.97%) Cost - Rs 1,239.698 million (2024: Rs 1,239.698 million)		1,394,166	1,001,089
		9,044,069	7,054,701
FVOCI - unquoted:			
Nishat Hotels and Properties Limited 104,166,667 (2024: 104,166,667) fully paid ordinary shares of Rs 10 each Equity held: 8.55% (2024: 8.55%) Cost - Rs 1,041.667 million (2024: Rs 1,041.667 million)	- note 20.1.1	2,721,875	2,002,083
Hyundai Nishat Motor (Private) Limited 195,623,000 (2024: 195,623,000) fully paid ordinary shares of Rs 10 each Equity held: 10% (2024: 10%) Cost - Rs 1,956.23 million (2024: Rs 1,956.23 million)	- note 20.1.2	3,562,379	3,671,625
		6,284,254	5,673,708
		19,141,165	14,874,420

20.1.1 This represents investment in the ordinary shares of Nishat Hotels and Properties Limited ('NHPL') which is principally engaged in establishing and managing a multi-purpose facility including a shopping mall, hotel, and banquet halls in Johar Town, Lahore, by the name of 'Nishat Emporium'. Since NHPL's ordinary shares are not listed, an independent valuer engaged by the Group has estimated a fair value of Rs 26.13 per ordinary share as at June 30, 2025 (2024: Rs 19.22 per share) through a valuation technique based on discounted cash flow analysis of NHPL. Hence, it has been classified under level 3 of fair value hierarchy as further explained in note 46.3 to these financial statements. The fair value gain of Rs 719.792 million recognised during the year is included in other comprehensive income.

The main level 3 inputs used by the Group are derived and evaluated as follows:

- Discount rate is determined using a capital asset pricing model to calculate a post-tax rate that reflects current market assessments of the time value of money and the risk specific to NHPL.

- Long term growth rate is estimated based on historical performance of NHPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique are as follows:

- Discount rate of 16.12% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.50% to 7.70% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 270.833 million lower.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 98.958 million lower.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 20.833 million higher.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 5.208 million lower.

20.1.2 This represents investment in the ordinary shares of Hyundai Nishat Motor (Private) Limited ('HNMPL') that has setup up a greenfield project for assembly and sales of Hyundai Motor Company passenger and commercial vehicles. Since HNMPL's ordinary shares are not listed, an independent valuer engaged by the Group has estimated a fair value of Rs 18.21 per ordinary share as at June 30, 2025 (2024: Rs 18.77 per share) through a valuation technique based on discounted cash flow analysis of HNMPL. Hence, it has been classified under level 3 of fair value hierarchy as further explained in note 46.3 to these financial statements. The fair value loss of Rs 109.246 million recognised during the year is included in other comprehensive income.

The main level 3 inputs used by the Group are derived and evaluated as follows:

- Discount rate is determined using a capital asset pricing model to calculate a post-tax rate that reflects current market assessments of the time value of money and the risk specific to HNMPL.

- Long term growth rate is estimated based on historical performance of HNMPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique are as follows:

- Discount rate of 17.01% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs are linked to inflation and currency devaluation both of 4% per annum respectively, and revenue are also linked to currency devaluation at 4% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 246.904 million lower.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 116.469 million lower.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 144.761 million higher.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2025 would be Rs 17.606 million lower.

		2025	2024
		(Rupees in thousand)	
20.2 Others			
FVOCI - quoted:			
Pakistan Petroleum Limited			
821,626 (2024: 821,626) fully paid ordinary shares of Rs 10 each Equity held: 0.03% (2024: 0.03%) Cost - Rs 117.405 million (2024: Rs 117.405 million)		139,816	96,221
United Bank Limited			
428,708 (2024: 214,354) fully paid ordinary shares of Rs 10 each Equity held: 0.02% (2024: 0.02%) Cost - Rs 33.646 million (2024: Rs 33.646 million)	- note 20.2.1	118,302	54,926
Nishat (Chunian) Limited			
7,173,982 (2024: 7,173,982) fully paid ordinary shares of Rs 10 each Equity held: 2.99% (2024: 2.99%) Cost - Rs 75.565 million (2024: Rs 75.565 million)		295,022	188,030
		553,140	339,177

20.2.1 During the year ended June 30, 2025, United Bank Limited, subdivided each ordinary share of Rs. 10 into two ordinary shares of Rs 5 each, with no change in their rights, privileges and entitlements.

		2025	2024
		(Rupees in thousand)	
20.3 Reconciliation of carrying amount			
Balance as at beginning of the year		15,213,597	11,474,189
Investments made during the year	- note 20.3.1	38,232	-
		15,251,829	11,474,189
Fair value gain recognised in other comprehensive income		4,442,476	3,739,408
Balance as at end of the year		19,694,305	15,213,597

20.3.1 This represents 0.136 million shares acquired of MCB Bank Limited during the year.

20.4 3,860,267 (2024: 3,860,267) shares of MCB Bank Limited are blocked in Central Depository Company ('CDC') account.

21. Long term deposits

These represent security deposits against various goods and services. These deposits have not been carried at amortised cost mainly because the period after which the deposits are to be refunded is indefinite. Further, the effect of discounting is immaterial in the context of these financial statements.

22. Stores, spare parts and loose tools

		2025	2024
		(Rupees in thousand)	
Stores [including in transit: Rs 235.46 million (2024: Rs 88.61 million)]		3,677,199	4,538,737
Spare parts [including in transit Rs 257.24 million (2024: Rs 495.65 million)]		8,980,718	9,834,271
Loose tools		75,814	72,063
		12,733,731	14,445,071

22.1 Stores and spare parts include items which may result in fixed capital expenditure but are not distinguishable.

23. Stock-in-trade

		2025	2024
		(Rupees in thousand)	
Raw materials [including in transit Rs 922.42 million (2024: Rs.276.48 Million)]		2,320,717	1,186,760
Packing material		517,918	536,751
Animal forage [including in transit Rs 112.74 million (2024: Rs 112.36 million)]		1,184,480	1,118,765
Work-in-process	- note 30	5,293,548	5,050,433
Finished goods	- note 30	1,895,301	1,635,773
		11,211,964	9,528,482

23.1 Work-in-proces includes write-back during the year against net realizable value allowance amounting to Rs 57.975 million (2024: Nil).

24. Trade debts

		2025	2024
		(Rupees in thousand)	
Considered good			
- Related parties	- note 24.1	105,202	32,959
- Others		1,923,899	1,246,239
		2,029,101	1,279,198
Loss allowance	- note 24.2	(330,083)	(323,163)
		1,699,018	956,035

24.1 This is from the following related parties:

	2025	2024
Nishat Sutas Dairy Limited	46,890	2,200
Nishat Mills Limited	57,896	30,755
Hyundai Nishat Motor (Private) Limited	-	-
Pakistan Aviators And Aviation (Private) Limited	-	-
Nishat Agriculture Farming (Private) Limited	416	4
	105,202	32,959

24.1.1 The maximum aggregate amount outstanding at the end of any month during the year was Rs 111.632 million (2024: Rs 45.959 million). The aging analysis of trade debts from related parties that are past due and carry loss allowance is as follows:

	2025	2024
	(Rupees in thousand)	
Up to 90 days	53,594	7,149
91 to 180 days	5,728	11,447
181 to 365 days	43,475	12,586
Above 365 days	2,405	1,777
	105,202	32,959
Loss allowance	(11,702)	(8,589)
	93,500	24,370

24.2 The reconciliation of loss allowance is as follows:

	2025	2024
Balance at the beginning of the year	323,163	220,509
Loss allowance charged during the year	6,920	102,654
Balance as at end of the year	330,083	323,163

25. Contract assets

Contract assets represents the Group's right to consideration for work completed but not billed at the reporting date on made to order packing products. The contract assets are transferred to receivables when the rights become unconditional. This usually occurs when the Group issues an invoice to the customer.

		2025	2024
		(Rupees in thousand)	
26. Short term Investments			
FVOCI - quoted:			
Related party	- note 26.1	23,347,443	18,382,245
Other	- note 26.2	4,137	2,637
At FVPL			
Related party	- note 26.3	653,520	-
Other	- note 26.4	38	26
	- note 26.5	24,005,138	18,384,908
At Amortised Cost			
Term deposit certificates	- note 26.6	355,046	25,000
		24,360,184	18,409,908

26.1 This represents the following quoted investments in related party:

	2025	2024
MCB Bank Limited		
80,971,917 (2024: 80,971,917) fully paid ordinary shares of Rs 10 each		
Equity held: 6.83% (2024: 6.83%)		
Cost - Rs 478.234 million (2024: Rs 478.234 million)	23,347,443	18,382,245

26.2 This represents the following quoted investments in other company:

	2025	2024
Nishat (Chunian) Limited		
100,620 (2024: 100,620) fully paid ordinary shares of Rs 10 each		
Equity held: 0.042% (2024: 0.042%)		
Cost - Rs 0.832 million (2024: Rs 0.832 million)	4,137	2,637

26.3 This represents the following quoted investments in related party:

	2025	2024
Mutual funds		
MCB Cash Management Optimizer (Number of units: 6,387,825 (2024: Nil))	653,520	-

	2025	2024
	(Rupees in thousand)	

26.4 This represents the following quoted investments in other parties:

	2025	2024
Habib Bank Limited		
210 (2024: 210) fully paid ordinary shares of Rs. 10 each at cost	38	26

26.5 Reconciliation of carrying amount

	2025	2024
Opening balance	18,384,908	9,270,913
Fair value gain recognised in other comprehensive income	4,966,698	9,113,984
Fair value gain recognised in profit or loss	653,532	11
Closing balance	24,005,138	18,384,908

26.6 This represents term deposit receipts having maturity of six months to one year from the date of purchase. These bear markup at the rate ranging from 8.75% - 9.60% (2024: 18.25% - 19.75%) per annum.

27. Loans, advances, deposits, prepayments and other receivables

		2025	2024
		(Rupees in thousand)	
Current portion of loans to employees	- note 27.1	20,818	17,837
Advances			
- To employees		11,899	14,351
- To suppliers	- note 27.2	237,948	101,445
		249,847	115,796
Prepayments	- note 27.3	20,097	11,683
Due from related parties	- note 27.4	26,430	23,168
Letters of credit - margins, deposits, opening charges, etc.		46,011	3,834
Balances with statutory authorities:			
- Sales tax		1,831,130	802,848
- Excise duty		128,144	-
- Export rebate		16,766	15,304
		1,976,040	818,152
Other advances			
Other receivables	- note 27.5	87,426	3,055
		2,426,669	993,525
Loss allowance		-	(1,631)
		2,426,669	991,894

27.1 This includes Rs 20.48 million (2024: Rs 17.34 million) in respect of loan provided to executives.

27.2 This includes advance payment to Pakistan Aviators and Aviation Private Ltd, a related party, of Rs 0.25 million (2024: Nil). The maximum aggregate amount outstanding at the end of any month during the year was Rs. 0.25 million (2024: Nil). The balances are neither past due nor impaired.

27.3 This includes prepayments to Adamjee Insurance Company Limited, a related party, of Rs 9.740 million (2024: Rs 5.900 million) on account insurance premium. The maximum aggregate amount outstanding at the end of any month during the year was Rs 62.392 million (2024: Rs 19.728 million). The balances are neither past due nor impaired.

		2025	2024
		(Rupees in thousand)	
27.4 Includes amounts due from the following related parties:			
Nishat Mills Limited		4,051	62
Nishat Linen (Private) Limited		4,942	3,511
Hyundai Nishat Motor (Private) Limited		3,655	10,995
Nishat Power Limited		41	-
Nishat Chunian Power Limited		3,872	-
Nishat Sutas Dairy Limited		-	337
Nishat Agriculture Farming (Private) Limited		9,604	8,263
Adamjee Insurance Company Limited		109	-
Security General Insurance Company Limited		86	-
Nishat Developers (Private) Limited		70	-
	- note 27.4.1	26,430	23,168

27.4.1 The maximum aggregate amount outstanding at the end of any month during the year was Rs 104.969 million (2024: Rs 10.995 million). The balances are neither past due nor impaired.

27.5 Includes a receivable of Rs 6.620 million (2024: Rs 0.833 million) from Hyundai Nishat Motor (Private) Limited, being a related party of the Group. The maximum aggregate amount outstanding at the end of any month during the year of Hyundai Nishat Motor (Private) Limited was Rs 6.620 million (2024: Rs 4.817 million). This amount is neither past due nor impaired.

28. Cash and bank balances

		2025	2024
		(Rupees in thousand)	
At banks:			
Saving accounts:			
- Local currency		74,466	88,271
- Foreign currency: US$ 1,049,799 (2024: US$ 876,481)		297,021	243,925
Saving accounts:			
- Local currency	- notes 28.1, 28.2 & 28.3	462,046	306,662
- Foreign currency: US$ 247,674 (2024: US$ 1,248,304)		69,523	347,403
		903,056	986,261
In hand		52,141	972
		955,197	987,233

28.1 The balances in saving accounts bear mark-up ranging from 5.76% to 26.96% (2024: 15.71% to 26.17%) per annum.

28.2 Included in balances at banks on saving accounts are Rs 14.48 million (2024: Rs 14.48 million) which are under lien to secure bank guarantees referred to in note 13.4.

28.3 Included in balances at banks in saving accounts is Rs 0.007 million (2024: Rs 0.006 million) which relates to unpaid dividend held by the Group.

29. Revenue

		2025	2024
		(Rupees in thousand)	
Local sales	- note 29.1	93,320,368	82,292,688
Export sales	- note 29.2	17,046,633	11,589,607
		110,367,001	93,882,295
Less:			
Sales tax		16,258,472	13,461,545
Federal Excise Duty		13,867,483	7,214,442
Trade discount		810,303	742,881
Commission to stockists and export agents		491,572	381,485
Ocean freight	- note 29.3	305,263	193,863
		31,733,093	21,994,216
		78,633,908	71,888,079

29.1 This includes unbilled revenue amounting to Rs 214.80 million (2024: Rs 71.94 million).

29.2 It includes rebate and incentive on exports amounting to Rs 7.613 million (2024: Rs 4.636 million) and Rs 2.862 million (2024: Rs 18.311 million) respectively. Incentive is received due to early shipment made under the contract.

29.3 Represents freight cost incurred upon shipping goods to export customers under cost and freight terms in the capacity of agent.

30. Cost of sales

		2025	2024
		(Rupees in thousand)	
Raw and packing materials consumed		4,413,500	4,456,429
Forage		3,516,111	3,481,097
Medicines and related items		287,871	248,276
Salaries, wages and other benefits	- note 30.1	6,097,405	5,744,417
Fuel and power		32,770,554	33,483,503
Stores and spares consumed		3,902,472	4,494,767
Repairs and maintenance		462,699	434,895
Insurance		215,923	182,922
Depreciation on operating fixed assets	- note 17.1.3	3,968,448	3,973,984
Royalty	- note 30.2	2,848,805	541,591
Excise duty		222,103	398,223
Vehicle running		464,223	528,477
Postage, telephone and telegram		14,734	13,463
Printing and stationery		21,153	25,589
Legal and professional charges		7,040	9,407
Travelling and conveyance		22,597	25,683
Plant cleaning and gardening		77,359	62,999
Rent, rates and taxes	- note 30.3	(547,499)	294,280
Freight charges		80,992	109,404
Water charges		41,648	6,108
Security expenses		247,628	247,505
Input sales tax written off		2,433	210,647
Other expenses		200,335	192,938
		59,338,534	59,166,604
Opening work-in-process	- note 23	5,050,433	6,199,920
Closing work-in-process	- note 23	(5,293,548)	(5,050,433)
		(243,115)	1,149,487
Cost of goods manufactured		59,095,419	60,316,091
Opening stock of finished goods	- note 23	1,635,774	1,610,637
Closing stock of finished goods	- note 23	(1,895,301)	(1,635,774)
		(259,527)	(25,137)
Own consumption		(1,315)	(14,654)
		58,834,577	60,276,300

30.1 Salaries, wages and other benefits include Rs 140.489 million (2024: Rs 129.902 million), in respect of provident fund contribution by the Group. Further, the provision for gratuity and accumulating compensated absences included in the above is as follows:

	2025	2024
	(Rupees in thousand)	
Gratuity		
Current service cost	95,095	90,915
Interest cost for the year	156,847	153,123
Interest income on plan assets	(85,166)	(76,249)
	166,776	167,789
Accumulating compensated absences		
Current service cost	62,557	63,673
Interest cost for the year	19,800	20,487
Remeasurements	(11,587)	(3,764)
	70,770	80,396

30.2 This includes reversal of provision of royalty amounting to Nil (2024: Rs 628.026 million) pursuant to the decision of the honorable Supreme Court of Pakistan in favor of the Group to the extent of retrospective application of revised royalty rate(s) through impugned notification of the Secretary Mines and Minerals Department, Government of Baluchistan.

30.3 This includes rentals of heavy machinery used at quarry site where raw materials i.e. clay and limestone, are extracted.

30.3.1 This includes the reversal of the electricity duty expense amounting to Rs 817.153 million, pursuant to the decision of the honarable Supreme Court of Pakistan dated October 8, 2024, in Civil Appeals Nos. 256 to 472 of 2011 (2024 SCP 348), which held that no electricity duty can be recovered from the entities using generators exceeding 500 KW capacity for self-consumption.

31. Administrative expenses

		2025	2024
		(Rupees in thousand)	
Salaries, wages and other benefits	- note 31.1	731,813	633,315
Electricity, gas and water		115,604	124,809
Repairs and maintenance		15,877	14,266
Insurance		37,253	38,030
Amortization of intangible asset	- note 18	29,687	23,545
Depreciation on operating fixed assets	- note 17.1.3	113,853	87,850
Vehicle running		53,207	45,026
Postage, telephone and telegram		19,946	16,132
Printing and stationery		45,477	47,543
Legal and professional services	- note 31.2	86,282	83,701
Travelling and conveyance		110,412	101,606
Rent, rates and taxes		1,345	1,994
Entertainment		10,220	7,967
School expenses		84,679	72,481
Fee and subscription		17,057	34,108
Other expenses		15,730	34,173
		1,488,442	1,366,546

31.1 Salaries, wages and other benefits include Rs 20.899 million (2024: Rs 19.353 million) in respect of provident fund contribution by the Group. Further, the provision for gratuity and accumulating compensated absences included in the above is as follows:

	2025	2024
	(Rupees in thousand)	
Gratuity		
Current service cost	16,992	14,570
Interest cost for the year	28,027	24,540
Interest income on plan assets	(15,218)	(12,220)
	29,801	26,890
Accumulating compensated absences		
Current service cost	11,255	8,651
Interest cost for the year	3,562	2,784
Remeasurements	(2,085)	(511)
	12,732	10,924

31.2 Legal and professional charges

Legal and professional charges include the following in respect of auditors' remuneration (excluding sales tax) for:

	2025	2024
Statutory audits	4,359	3,693
Half-yearly review	1,100	933
Fee and other charges for audit of subsidiaries	2,894	2,433
Tax services	36,159	49,043
Certifications required under various regulations	474	402
Out of pocket expenses	1,090	1,116
	46,076	57,620

32. Selling and distribution expenses

		2025	2024
Salaries, wages and other benefits	- note 32.1	339,014	328,072
Electricity, gas and water		5,857	5,399
Repairs and maintenance		1,727	1,557
Insurance		1,979	2,438
Depreciation on operating fixed assets	- note 17.1.3	15,025	13,339
Vehicle running		19,228	23,393
Postage, telephone and telegram		5,208	4,773
Printing and stationery		2,503	3,200
Rent, rates and taxes		3,495	3,342
Travelling and conveyance		12,817	18,643
Entertainment		3,779	2,155
Advertisement and sales promotion		55,722	32,152
Freight and handling charges		3,366,602	2,130,235
Legal and professional charges		-	12,670
Other expenses		46,098	31,532
		3,879,054	2,612,900

32.1 Salaries, wages and other benefits include Rs 13.311 million (2024: Rs 12.647 million) in respect of provident fund contribution by the Group. Further, the provision for gratuity and accumulating compensated absences included in the above is as follows:

	2025	2024
	(Rupees in thousand)	
Gratuity		
Current service cost	9,956	9,128
Interest cost for the year	16,421	15,373
Interest income on plan assets	(8,917)	(7,655)
	17,460	16,846
Accumulating compensated absences		
Current service cost	6,409	5,709
Interest cost for the year	2,028	1,837
Remeasurements	(1,187)	(338)
	7,250	7,208

33. Other expenses

		2025	2024
Workers' Profit Participation Fund	- note 12.4	486,896	-
Workers' Welfare Fund	- note 12.5	218,558	23,590
Donations	- note 33.1	6,326	5,033
Exchange loss		77,179	-
Loss on disposal of biological assets - cows		182,314	-
		971,273	28,623

33.1 Represents donation made to Pakistan Agricultural Coalition. None of the directors or their spouses have any interest in the donee.

34. Other income

		2025	2024
		(Rupees in thousand)	
Income on bank deposits	- note 34.1	194,387	72,644
Gain on disposal of investment		-	-
Fair value gain on equity investments at FVTPL		11	10
Provisions and unclaimed balances written back		9,974	50,122
Gain on disposal of operating fixed assets		571,334	26,909
Gain on disposal of store items		837	1,061
Gain on disposal of other biological assets		-	82,136
Dividend income from:			
- Related parties	- note 34.2	4,102,588	3,762,372
- Others		22,868	13,540
		4,125,456	3,775,912
Scrap sales		129,532	142,667
Rental income		4,176	6,236
Gain on sale of trees and woods		3,870	-
Exchange Gain		-	189,581
Gain on sale of bull calves		10,562	10,656
Others		-	12
		5,050,139	4,357,946

34.1 Included in this is profit earned from shariah compliant deposits amounting to Rs 7.344 million (2024: Rs 8.094 million).

	2025	2024
	(Rupees in thousand)	
34.2 Dividend income from related parties		
Nishat Mills Limited	90,869	151,448
MCB Bank Limited	3,849,180	3,527,291
Adamjee Insurance Company Limited	83,633	83,633
Nishat (Chunian) Power Limited	39,781	-
Hyundai Nishat Motor (Private) Limited	39,125	-
	4,102,588	3,762,372

35. Finance cost

		2025	2024
Interest and mark-up / profit on:			
- Long term finances - secured	- note 35.1	2,481,423	4,046,796
- Short term borrowings - secured		1,706,080	4,423,501
- Workers' profit participation fund	- note 12.4	36,237	2,787
- Bank charges		64,439	79,039
		4,288,179	8,552,123

35.1 Included in this is the finance cost incurred on TERF and ITERF, which has been set off against the amount of unwinding of grant as referred in note 8.

36. Levy

Levy represents final taxes paid under section 5 of the Income Tax Ordinance, 2001 (the 'ITO, 2001'), in terms of requirements of IFRIC 21 / IAS 37.

36.1 Reconciliation of current tax charge charged as per tax laws for the year, with current tax recognised in the profit and loss account, is as follows:

	2025	2024
	(Rupees in thousand)	
Current tax liability for the year as per applicable tax laws	4,927,767	2,796,880
Portion of current tax liability as per tax laws, representing income tax under IAS 12	4,297,247	2,221,957
Portion of current tax computed as per tax laws, representing levy in terms of requirements of IFRIC 21 / IAS 37	630,520	574,923
Difference	-	-

36.2 The aggregate of minimum / final tax and income tax, amounting to Rs. 4,927.767 million (2024: Rs. 2,796.880 million) represents tax liability of the Group calculated under the relevant provisions of the ITO, 2001.

		2025	2024
		(Rupees in thousand)	

37. Taxation

		2025	2024
Current			
- For the year		3,433,345	1,375,093
- Prior years	- note 37.1	(370,285)	(63,982)
		3,063,060	1,311,111
Deferred	- note 11	1,234,187	910,846
		4,297,247	2,221,957

37.1 This includes Rs 170.575 million related to the tax credit under Section 65B of the Income Tax Ordinance, 2001. Initially, the Group had recognized credit at the rate of 5% in its books, as per amendment introduced through the Finance Act, 2019. However, the honorable Supreme Court of Pakistan, vide its judgment dated September 18, 2024, allowed companies to claim the credit at the rate of 10% for the period up to June 30, 2019, thereby resulting in recognition of the additional credit.

37.2 Tax charge reconciliation

	2025 %	2024 %
Numerical reconciliation between the average effective tax rate and the applicable tax rate		
Applicable tax rate as per Income Tax Ordinance, 2001	29.00	29.00
Tax effect of:		
- Amounts that are not deductible for tax purposes - net	1.74	4.67
- Change in prior years' tax	(1.42)	16.50
- Income subject to separate block	(0.93)	-
- Effect of super tax	10.71	10.95
- Income not subject to tax	0.02	0.07
- Amounts allowable as tax credit	(1.16)	-
- Income chargeable under final tax regime	(4.43)	(11.74)
- Previously recognised deferred tax asset charged off	-	26.72
- Tax benefit on loss surrender under group relief	(0.61)	-
- Others	0.64	(0.14)
	4.56	47.03
Average effective tax rate (including income tax and levy)	33.56	76.03

38. Earnings / (loss) per share

38.1 Earnings / (loss) per share - basic

		2025	2024
Profit for the year - attributable to owners of the parent company	Rupees	9,239,142,000	620,898,000
Weighted average number of ordinary shares	Number	438,119,118	438,119,118
Earning per share - basic	Rupees	21.09	1.42

38.2 Earnings per share - diluted

There is no dilution effect on the basic earnings per share as the Group has no such commitments.

		2025	2024
		(Rupees in thousand)	
39. Cash generated from operations			
Profit before income tax		14,054,937	3,104,387
Adjustments for:			
- Depreciation on operating fixed assets	- note 17.1.3	4,097,326	4,075,173
- Amortization of intangible assets	- note 31	29,687	23,545
- Change in fair value of investments - FVPL		(11)	(10)
- Capital work-in-progress charged off during the year	- note 17.2	895	6,448
- Gain on disposal of operating fixed assets	- note 34	(571,334)	(26,909)
- Loss / (gain) on disposal of other biological assets	- note 33 & - note 34	182,314	(82,136)
- Changes in fair value of biological assets	- note 19.1	(469,855)	(372,431)
- Gain on disposal of biological assets - bull calves	- note 34	(10,562)	(10,656)
- Dividend income	- note 34	(4,125,456)	(3,775,912)
- Income on bank deposits	- note 34	(152,568)	(72,644)
- Provision for retirement benefits	- notes 10.1.5 & 10.2.2	304,790	310,054
- Liabilities written back	- note 34	(9,974)	(50,122)
- Unrealised gain on mutual funds	- note 34	(41,819)	-
- Net impairment loss on financial assets		6,920	102,654
- Exchange loss / (gain)	- note 33 & - note 34	29,379	(118,545)
- Levy	- note 36	630,520	574,923
- Finance costs	- note 35	4,288,179	8,552,123
Profit before working capital changes		18,243,368	12,239,942
Effect on cash flow due to working capital changes			
- Decrease / (increase) in stores, spares and loose tools		1,711,340	(318,932)
(Increase) / decrease in stock-in-trade		(1,683,482)	1,708,964
- (Increase) / decrease in trade debts		(749,903)	163,862
- (Increase) / decrease in advances, deposits, prepayments and other receivables		(1,372,130)	697,160
- Increase / (decrease) in trade and other payables		960,243	(1,092,970)
		(1,133,932)	1,158,084
		17,109,436	13,398,026
40. Cash and cash equivalents			
Cash and bank balances	- note 28	955,197	987,233
Short term borrowings from financial institutions - secured	- note 13	(12,347,094)	(15,108,379)
Mutual funds held at fair value through profit or loss	- note 26	653,520	-
		(10,738,377)	(14,121,146)

41. Transactions with related parties

The related parties include the Investor, related parties on the basis of common directorship, group companies, key management personnel including directors, other related parties and post employment benefit plans. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Group, directly or indirectly, including any Director (whether Executive or otherwise). The Group in the normal course of business carries out transactions with various related parties. Amounts due from and to related parties are shown under receivables and payables. Related party transactions carried out during the year are as follows:

Relationship with the Group	Nature of transactions	2025	2024
		(Rupees in thousand)	
i. Investor	Sale of goods	27,467	29,174
	Purchase of goods	3,128	6,519
	Sale of fixed assets	814	-
	Dividend income	90,869	151,448
	Expense incurred on behalf of related party	898	886
	Buy back of shares	28,500	30,000
ii. Other related parties	Sale of goods and services	1,146,289	244,417
	Insurance premium	334,723	284,047
	Purchase of goods and services	629,336	708,564
	Insurance claims received	50,440	108,057
	Rental income	2,136	2,036
	Dividend income	4,011,719	3,610,924
	Purchase of shares	38,231	-
	Purchase of fixed assets	16,813	-
	Reimbursement of expenses by Related Party	110,878	89,462
	Mark up and principal payments	213,175	350,223
	Reimbursement of expenses to Related Party	-	452
iii. Key management personnel	Remuneration - note 42.1	438,611	378,056
	Buy back of shares	76,000	80,000
iv. Post employment benefit plans	Expense charge in respect of retirement benefit plan	304,790	310,054
	Expense charge in respect of contributory provident fund	174,700	162,864

41.1 This represents remuneration of the Chief Executive, Executive Director and certain Executives that are included in the remuneration disclosed in note 42 to these consolidated financial statements.

41.2 Transactions with related parties have been carried out on mutually agreed terms and conditions. The related parties with whom the Group had entered into transactions or had arrangements / agreements in place during the year have been disclosed below along with their basis of relationship:

Name	Relationship	%age of shareholding in the Company
Adamjee Insurance Company Limited	Group company	-
Hyundai Nishat Motor (Private) Limited	Common directorship	-
Lalpir Power Limited	Common directorship	-
MCB Bank Limited	Group company	-
Nishat Sutas Dairy Limited	Group company	-
Nishat Dairy (Private) Limited	Subsidiary	-
Nishat Hospitality (Private) Limited	Group company	-
Nishat Hotels and Properties Limited	Common directorship	-
Nishat Agriculture Farming (Private) Limited	Common directorship	-
Nishat Linen (Private) Limited	Subsidiary of Investor	-
Nishat Mills Limited	Investor	31.40%
Nishat Packaging Limited	Subsidiary	-
Pakgen Power Limited	Group company	-
Pakistan Aviators & Aviation (Private) Limited	Group company	-
Security General Insurance Company Limited	Group company	0.10%
Mrs. Naz Mansha	Director / Chairperson	0.05%
Mian Raza Mansha	Director / Chief Executive	2.92%
Mrs. Ammil Raza Mansha	Spouse of Chief Executive	1.34%
Mian Hassan Mansha	Close family member of director	6.19%
Mian Umer Mansha	Close family member of director	6.29%
Mr. Shehryar Ahmed Baksh	Director	-
Mr. Shahzad Ahmad Malik	Director	-
Mr. Khalid Niaz Khawaja	Director	-
Mr. Usama Mahmud	Director	-
Mr. Farid Noor Ali Fazal	Director	-
Mr. Arif Bashir	Key Management Personnel	-
Mr. Inayat Ullah Niazi	Key Management Personnel	-
Adamjee Life Assurance Company Limited	Common Directorship	-
Ahead Brands	Common Directorship	-
Delivery Management Consultant (Pvt) Limited	Common Directorship	-
Emporium Properties (Pvt) Limited	Common Directorship	-
Euronet Pakistan (Pvt) Limited	Common Directorship	-
Fortress Square Mall	Common Directorship	-
NexGen Auto (Private) Limited	Common Directorship	-
D.G. Khan Cement Company (USA) LLC	Subsidiary	-
Golf View Land (Pvt) Limited	Common Directorship	-
HKB Enterprises	Common Directorship	-
Paismo (Private) Limited	Common Directorship	-
World Wild Life Fund (WWF)	Common Directorship	-
Punjab Skill Development Fund	Common Directorship	-
Nishat Chunian Power Limited	Common Directorship	-
HKB Retail SMC (Pvt) Limited	Common Directorship	-
MCB Islamic Bank Limited	Common Directorship	-
Nishat (Aziz Avenue) Hotels and Properties Limited	Common Directorship	-
Nishat (Raiwind) Hotels and Properties Limited	Common Directorship	-
Nishat Agrotech Farm Supplies (Pvt) Ltd.	Common Directorship	-
Nishat Commodities (Pvt) Limited	Group company	-
Nishat Developers (Private) Limited	Common Directorship	-
Nishat Energy Limited	Group company	-
Nishat Power Limited	Common Directorship	-
Nishat Real Estate Development Co. (Pvt) Ltd.	Group company	-
Company's Employees Gratuity Fund	Post Employment Benefit Plan	-
Company's Employees Provident Fund	Post Employment Benefit Plan	-

42. Remuneration of Chief Executive, Directors and Executives

42.1 The aggregate amounts charged in the consolidated financial statements for the year for remuneration, including certain benefits, to the Chief Executive, Executive Director and Executives are as follows:

	Chief Executive		Executive Director		Executives	
	2025	2024	2025	2024	2025	2024
	(Rupees in thousand)					
Short term employee benefits						
Managerial remuneration	62,068	38,308	25,463	28,393	1,046,738	889,706
Housing	270	270	356	-	376,981	326,750
Utilities	20,252	20,252	-	670	80,493	73,504
Leave passage	-	-	1,090	1,435	30,074	26,028
Bonus	-	-	-	-	137,605	140,649
Medical expenses	8,043	3,873	2,682	1,007	127,661	38,064
Others	37,056	23,412	468	219	239,135	123,716
Post employment benefits						
Contributions to Provident and Gratuity Fund	-	-	4,688	5,205	165,820	137,238
	127,689	86,115	34,747	36,929	2,204,507	1,755,655
Number of persons	1	1	1	1	438	346

42.2 The Group also provides the Chief Executive, certain directors and executives with Group maintained cars, travelling and utilities. Certain executives are provided with housing facilities.

42.3 During the year, the Group paid meeting fee amounting to Rs 0.92 million (2024: Rs 0.76 million) to its Non-Executive Directors. The number of Non-Executive Directors is 5 (2024: 5).

43. Plant capacity and actual production

		Capacity		Actual production	
		2025	2024	2025	2024
Cement segment:					
Clinker (Metric Tonnes)					
Plant I & II - D. G. Khan	- note 43.1	2,010,000	2,010,000	1,200,269	1,054,593
Plant III - Khairpur	- note 43.1	2,010,000	2,010,000	1,126,633	1,051,594
Plant IV - Hub	- note 43.1	2,700,000	2,700,000	2,730,421	2,235,280
Packaging segment:					
Paper bags (number of bags)	- note 43.2	160,000,000	220,000,000	43,151,383	43,295,936
Polypropylene Bag (number of bags)	- note 43.3	90,000,000	-	29,715,285	-
Dairy segment:					
Milk-litres -[110,000 litres per day]	- note 43.4	40,150,000	40,150,000	39,710,384	37,713,637

43.1 Plant capacity is based on 300 working days, that can be exceeded if the plant is operational for more than 300 days during the year. Actual production is less than the installed capacity due to planned maintenance shutdown and gap between market demand and supply of cement.

43.2 The production capacity for paper bags declined due to the disposal of sack line 1, driven by reduced demand for paper bags.

43.3 A new manufacturing facility for polypropylene production has been commissioned at the Sheikhupura plant.

43.4 Actual milk production is lower due to the mortality of milking cows and poor health of certain animals.

44. Number of employees

	2025	2024
Total number of employees as at June 30	2,295	2,299
Average number of employees during the year	2,291	2,291

45. Provident fund related disclosures

45.1 Cement segment

The investments by the provident fund in collective investment schemes, listed equity and debt securities have been made in accordance with the provisions of section 218 of the Companies Act, 2017 and the conditions specified thereunder.

45.2 Packaging segment

The investments by the provident fund in collective investment schemes, listed equity and debt securities have been made in accordance with the provisions of section 218 of the Companies Act, 2017 and the conditions specified thereunder.

45.3 Dairy segment

The investments by the provident fund in collective investment schemes, listed equity and debt securities have been made in accordance with the provisions of section 218 of the Companies Act, 2017 and the conditions specified thereunder.

46. Financial risk management

46.1 Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, interest rate risk and other price risk), credit risk and liquidity risk. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Group's financial performance.

Risk management is carried out by the Board of Directors ('the Board'). The Group's finance department evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments, and investment of excess liquidity.

The Group's overall risk management procedures to minimise the potential adverse effects of financial market on the Group's performance are as follows:

(a) Market risk

(i) Currency risk

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly from cash and bank balances, short term borrowings, receivables and payables that exist due to transactions in foreign currencies.

The Group is exposed to currency risk arising from various currency exposures, primarily with respect to the United States Dollar (USD). Currently, the Group's foreign exchange risk exposure is restricted to bank balances and amounts receivable from foreign entities and short term borrowings.

	2025	2024
	(USD in thousand)	
Financial assets		
Cash and bank balances	1,297	2,125
Receivable against sales to foreign parties	2,240	1,191
	3,537	3,316

	2025	2024
	(Euros in thousand)	
Financial assets	-	-
Financial liabilities		
Trade and other payables	-	(434)
Net liability exposure	-	(434)

	Average rate		Year-end spot rate	
	2025	2024	2025	2024
	(Rupees)	(Rupees)	(Rupees)	(Rupees)
USD	279.58	283.29	283.76	278.34
EURO	305.14	306.27	332.66	297.69

Foreign currency sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible change in the USD and Euro exchange rate, with all other variables held constant, of the Group's profit before tax and equity. The Group's exposure to foreign currency changes for all currencies other than USD and Euro is not material.

		Change in Exchange Rate	Effect on profit before tax	Effect on Equity
			(Rupees)	
Financial Assets (Exposore in USD)				
	2025	10%	100,366	61,223
		-10%	(100,366)	(61,223)
	2024	10%	92,298	56,302
		-10%	(92,298)	(56,302)
Financial Liabilities (Exposore in Euro)				
	2025	10%	-	-
		-10%	-	-
	2024	10%	(12,920)	(7,881)
		-10%	12,920	7,881

(ii) Other price risk

Other price risk represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Group is exposed to equity securities price risk because of investments held by the Group and classified as FVOCI and at FVPL. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Board. The primary goal of the Group's investment strategy is to maximise investment returns.

The Group’s certain investments in equity instruments of other entities are publicly traded on the Pakistan Stock Exchange Limited.

The table below summarises the impact of increases / decreases of the KSE-100 index on the Group’s post-tax loss for the year and on equity. The analysis is based on the assumption that the KSE had increased/decreased by 10% with all other variables held constant and all the Group’s equity instruments moved according to the historical correlation with the index.

	Impact on post-tax profit		Impact on other components of equity	
	2025	2024	2025	2024
	(Rupees in thousand)		(Rupees in thousand)	
Pakistan Stock Exchange Limited	65,356	3	2,242,460	1,703,413

(iii) Cash flow and fair value interest rate risk

Interest rate risk represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Group's interest rate risk arises from loan to related party, bank balances, short term and long-term borrowings. These borrowings issued at variable rates expose the Group to cash flow interest rate risk.

The Group analyses its interest rate exposure on a dynamic basis. Various scenarios are simulated taking into consideration refinancing, renewal of existing positions, alternative financing and hedging. Based on these scenarios, the Group calculates the impact on profit or loss of a defined interest rate shift. The scenarios are run only for liabilities that represent the major interest-bearing positions.

	2025	2024
	(Rupees in thousand)	
Fixed rate instruments:		
Financial assets		
Bank balances - savings accounts	531,569	654,065
Term deposit receipts	355,046	25,000
	886,615	679,065
Financial liabilities		
Export finances	(8,749,567)	(3,515,000)
Net exposure	(7,862,952)	(2,835,935)
Floating rate instruments:		
Financial liabilities		
Long term finances - secured	(15,377,832)	(22,883,554)
Short term borrowings - secured	(3,597,527)	(11,593,379)
	(18,975,359)	(34,476,933)
Net exposure	(18,975,359)	(34,476,933)

Fair value sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rate at the reporting date would not affect profit or loss of the Group.

Cash flow sensitivity analysis for variable rate instruments

The following table demonstrates the sensitivity to a possible change in the interest rate, with all other variables held constant, of the Group's profit before tax and equity against the floating rate instruments.

	Change in Exchange Rate	Effect on profit before tax	Effect on Equity
		(Rupees)	
2025	1%	189,754	115,750
	-1%	(189,754)	(115,750)
2024	1%	344,769	210,309
	-1%	(344,769)	(210,309)

(b) Credit risk

Credit risk represents the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

Credit risk of the Group arises from deposits with banks and other financial institutions, as well as credit exposures to customers, including outstanding receivables and committed transactions. The management assesses the credit quality of the customers, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. For banks and financial institutions, only independently rated parties with a strong credit rating are accepted.

(i) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows:

	2025	2024
	(Rupees in thousand)	
Long term deposits	61,013	61,568
Trade debts	1,699,018	956,035
Contract assets	253,466	84,893
Deposits and other receivables	134,674	44,060
Balances with banks	903,056	986,261
	3,051,227	2,132,817

(ii) Impairment of financial assets

The Group's financial assets, other than investments in equity instruments, are subject to the expected credit losses model. While bank balances, loans to employees, deposits and other receivables are also subject to the impairment requirements of IFRS 9, the identified impairment loss was immaterial and are therefore not exposed to any material credit risk.

Trade debts

The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade debts.

To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. These trade receivables are netted off with the collateral obtained from these customers to calculate the net exposure towards these customers. The Group has concluded that the expected loss rates for trade debts against local sales are different from the expected loss rates for trade debts against export sales.

The expected loss rates are based on the payment profiles of sales over a period of 12 months before June 30, 2025 and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified the Gross Domestic Product and the Consumer Price Index of the country in which it majorly sells its goods and services to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

On that basis, the loss allowance as at June 30, 2025 and June 30, 2024 was determined as follows:

	Local sales			Export sales		
June 30, 2025	Expected loss rate	Trade debts	Loss allowance	Expected loss rate	Trade debts	Loss allowance
	%	(Rupees in thousand)		%	(Rupees in thousand)	
Net trade debts*						
Not yet due	0.00%	170,749	-	0%	-	-
Up to 30 days	3.91%	140,705	5,504	0%	50,002	-
31 to 60 days	3.93%	243,490	9,568	0%	126,627	-
61 to 90 days	7.97%	37,827	3,013	0%	338,775	-
91 to 120 days	14.85%	84,642	12,570	0%	1,609	-
121 to 150 days	22.52%	21,023	4,734	0%	-	-
151 to 180 days	0.75%	264,566	1,973	0%	-	-
181 to 210 days	38.42%	6,051	2,325	0%	-	-
211 to 240 days	47.33%	9,511	4,502	0%	29,968	-
241 to 270 days	52.66%	21,918	11,542	0%	-	-
271 to 300 days	60.50%	23,660	14,315	0%	-	-
301 to 330 days	70.68%	20,688	14,623	0%	-	-
331 to 360 days	79.57%	24,764	19,705	0%	-	-
Above 360 days	42.39%	324,299	137,483	100%	88,226	88,226
		1,393,893	241,857		635,207	88,226
Trade debts against which collateral is held		154,145	-		-	-
Gross Trade debts		**1,548,038**	**241,857**		**635,207**	**88,226**

June 30, 2024	Local sales Expected loss rate			Export sales Expected loss rate		
	Expected loss rate	Trade debts	Loss allowance	Expected loss rate	Trade debts	Loss allowance
	%	(Rupees in thousand)		%	(Rupees in thousand)	
Net trade debts*						
Not yet due	0.00%	111,459	-	0%	-	-
Up to 30 days	0.33%	59,340	198	0%	122,491	-
31 to 60 days	0.95%	43,121	411	0%	122,315	-
61 to 90 days	1.25%	7,544	94	0%	-	-
91 to 120 days	172.06%	136	234	0%	-	-
121 to 150 days	0.75%	32,297	242	0%	-	-
151 to 180 days	8.68%	3,941	342	0%	-	-
181 to 210 days	16.32%	3,792	619	0%	-	-
211 to 240 days	22.36%	1,561	349	0%	-	-
241 to 270 days	28.42%	5,296	1,505	0%	-	-
271 to 300 days	34.87%	54,388	18,965	0%	-	-
301 to 330 days	44.40%	54,560	24,225	0%	-	-
331 to 360 days	54.28%	20,650	11,209	0%	-	-
Above 360 days	57.66%	309,041	178,193	100%	86,577	86,577
		707,126	236,586		331,383	86,577
Trade debts against which collateral is held		343,889	-		-	-
Gross Trade debts		**1,051,015**	**236,586**		**331,383**	**86,577**

* This represents amounts net of trade debts against which security deposits and inland letters of credit, considered as collateral, are held amounting to Rs 154.154 million (2024: Rs 343.889 million) and Nil (2024: Nil), respectively.

The amount of loss allowance that best represents maximum exposure to credit risk at the end of the reporting period without taking into account any collateral is Rs 481.390 million (2024: Rs 368.755 million).

Generally, default is triggered when more than 360 days have passed. However, in case of certain parties, extended credit period is allowed by the Credit Committees of the Group. The names of defaulting parties of outstanding trade debts from export sales and their respective default amount is as follows:

	2025	2024
	(Rupees in thousand)	
Nobel Translink Private Limited	1,353	1,328
Hizbullah & Saeed Ullah House Limited	663	651
Vikrant Traders	86,210	84,599
	88,226	86,578

(iii) Credit quality of financial assets

The credit quality of financial assets that are neither past due nor impaired (mainly bank balances) can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rate:

	Rating		Rating		
	Short term	Long term	Agency	2025	2024
				(Rupees in thousand)	
Bank Alfalah Limited	A1+	AAA	PACRA	72,885	361,460
Askari Bank Limited	A1+	AA+	PACRA	238	22,298
Bank Islami Pakistan Limited	A1	AA-	PACRA	135,031	44,221
The Bank of Punjab	A1+	AA+	PACRA	401	1,697
The Bank of Khyber	A1	A+	PACRA	346	82
Dubai Islamic Bank Pakistan Limited	A1+	AA	JCR-VIS	227	63
MCB Bank Limited - related party	A1+	AAA	PACRA	331,348	252,267
Habib Bank Limited	A1+	AAA	JCR-VIS	119,921	72,726
Meezan Bank Limited	A1+	AAA	JCR-VIS	6,974	647
National Bank of Pakistan	A1+	AAA	PACRA	3,092	2,974
Silk Bank Limited	A2	A-	JCR-VIS	5	5
Standard Chartered Bank (Pakistan) Limited	A1+	AAA	PACRA	104,005	122,904
United Bank Limited	A1+	AAA	JCR-VIS	26,520	9,787
Habib Metropolitan Bank Limited	A1+	AA+	PACRA	120	8,566
Faysal Bank Limited	A1+	AA	PACRA	97	5,165
JS Bank Limited	A1+	AA	PACRA	12	12
MCB Islamic Bank Limited - related party	A1	A+	PACRA	78,526	81,500
Samba Bank Limited	A1	AA	JCR-VIS	400	3
Industrial and Commercial Bank of China	F1 +	A	PACRA	56	56
Habib Bank Limited - Islamic	A1+	AAA	JCR-VIS	-	-
Bank Al-Habib Limited	A1+	AAA	PACRA	116,300	25,000
Al-Baraka Bank (Pakistan) Limited	A1	A+	PACRA	5	10
Allied Bank Limited	A1+	AAA	PACRA	261,425	-
Soneri bank	A1+	AA-	PACRA	350	-
				1,258,284	1,011,433

(c) Liquidity risk

Liquidity risk represents the risk that the Group shall encounter difficulties in meeting obligations associated with financial liabilities.

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities. Due to the dynamic nature of the Group's businesses, the Group's finance department maintains flexibility in funding by maintaining availability under committed credit lines. The Group's borrowing limits and cash and bank balances have been disclosed in notes 13 and 29 to these consolidated financial statements.

Management monitors the forecasts of the Group’s cash and cash equivalents (note 42 to these consolidated financial statements) on the basis of expected cash flow. This is generally carried out in accordance with practice and limits set by the Group. These limits vary by location to take into account the liquidity of the market in which the entity operates. In addition, the Group's liquidity management policy involves projecting cash flows in each quarter and considering the level of liquid assets necessary to meet its liabilities, monitoring consolidated statement of financial position liquidity ratios against internal and external regulatory requirements and maintaining debt financing plans.

The table below analyses the Group’s financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date.

At June 30, 2025	Less than 1 year	Between 1 and 2 years	2 to 5 years	Over 5 years	Total contractual cashflows	Carrying value
	(Rupees in thousand)					
Long term finances	1,943,775	2,472,491	5,602,244	5,130,480	15,148,990	15,377,832
Trade and other payables	8,890,044	-	-	-	8,890,044	8,890,044
Long term deposits*	940,292	-	-	-	940,292	940,292
Short term borrowings						
- secured	12,347,094	-	-	-	12,347,094	12,347,094
Accrued mark-up / profit	550,953	-	-	-	550,953	550,953
Unclaimed dividend	34,153	-	-	-	34,153	34,153
	24,706,311	2,472,491	5,602,244	5,130,480	37,911,526	38,140,368

*The maturity period of long term deposit is not ascertainable.

At June 30, 2024	Less than 1 year	Between 1 and 2 years	2 to 5 years	Over 5 years	Total contractual cashflows	Carrying value
	(Rupees in thousand)					
Long term finances	5,448,246	3,785,912	9,805,373	3,525,752	22,565,283	22,883,554
Trade and other payables	9,906,475	-	-	-	9,906,475	9,906,475
Long term deposits*	572,748	-	-	-	572,748	572,748
Short term borrowings						
- secured	15,108,379	-	-	-	15,108,379	15,108,379
Accrued mark-up / profit	1,417,035	-	-	-	1,417,035	1,417,035
Unclaimed dividend	34,200	-	-	-	34,200	34,200
	32,487,083	3,785,912	9,805,373	3,525,752	49,604,120	49,922,391

*The maturity period of long term deposit is not ascertainable.

46.2 Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Group manages its capital structure and makes adjustments to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders or issue new shares.

Consistent with others in the industry and the requirements of the lenders, the Group monitors the capital structure on the basis of gearing ratio. This ratio is calculated as net debt divided by total equity (as shown in the consolidated statement of financial position). Net debt is calculated as total borrowings (including current and non-current borrowings) including bank overdraft less cash and bank balances and liquid investments.

The gearing ratios as at June 30, 2025 and 2024 were as follows:

		2025	2024
		(Rupees in thousand)	
Borrowings - notes 7, 13 and 15		27,724,926	37,991,933
Cash and bank balances and liquid investments- note 26 & 28		(1,608,717)	(987,233)
Net debt		26,116,209	37,004,700
Total equity		99,628,839	79,547,075
Gearing ratio	Percentage	26%	47%

In accordance with the terms of agreement with the lenders of long term finances (as referred to in note 7 to these consolidated financial statements), the Group is required to comply with certain financial covenants such as maintaining certain level of gearing ratio and current ratio. The Group has complied with these covenants throughout the reporting period.

46.3 Fair value estimation

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price) regardless of whether that price is directly observable or estimated using another valuation technique.

The table below analyses the financial instruments carried at fair value, by valuation method. The different levels have been defined as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1).

- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (Level 2).

- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

The following table presents the Group's assets and liabilities that are measured at fair value:

As at June 30, 2025	**Level 1**	**Level 2**	**Level 3**	**Total**
		(Rupees in thousand)		
Recurring fair value measurements				
Assets				
Investment - FVPL	653,558	-	-	653,558
Investments - FVOCI	36,761,631	-	6,284,254	43,045,885
Biological assets	-	-	1,286,798	1,286,798
Total assets	37,415,189	-	7,571,052	44,986,241
Total liabilities	-	-	-	-
As at June 30, 2024				
Recurring fair value measurements				
Assets				
Investment - FVPL	26	-	-	26
Investments - FVOCI	27,924,771	-	5,673,708	33,598,479
Biological assets	-	-	1,167,436	1,167,436
Total assets	27,924,797	-	6,841,144	34,765,941
Total liabilities	-	-	-	-

Movement in the above mentioned assets has been disclosed in notes 20 and 26 to these financial statements and movement in fair value reserve has been disclosed in the statement of changes in equity. There were no transfers between Levels 1 and 2 & Levels 2 and 3 during the year and there were no changes in valuation techniques during the year. Since the ordinary shares of Nishat Hotels and Properties Limited and Hyundai Nishat Motor (Private) Limited are not listed, an investment advisor engaged by the Group has estimated fair values of Rs 26.13 and Rs 18.21 per ordinary share, respectively, as at June 30, 2025, through a valuation technique based on discounted cash flow analysis. The Group’s policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period. Changes in level 2 and 3 fair values are analysed at the end of each reporting period during the annual valuation discussion between the Chief Financial Officer and the investment advisor. As part of this discussion, the investment advisor presents a report that explains the reason for the fair value movements.

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in Level 3.

Specific valuation techniques used to value financial instruments include:

- Quoted market prices or dealer quotes for similar instruments.

- The fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves.

- Other techniques, such as discounted cash flow analysis, are used to determine fair value for the remaining financial instruments. An appropriate discount for lack of control and lack of marketability is also applied, where relevant.

Valuation techniques used to measure level 3 assets

Investments - FVOCI

Since the ordinary shares of Nishat Hotels and Properties Limited and Hyundai Nishat Motor (Private) Limited are not listed, an investment advisor engaged by the Group has estimated fair values of Rs 26.13 and Rs 18.21 per ordinary share, respectively, as at June 30, 2025, through a valuation technique based on discounted cash flow analysis.

The method for calculation of fair value and valuation inputs including sensitivity analysis has been explained in note 20.1.1 and 20.1.2 to these consolidated financial statements.

Biological assets

The fair value of these assets is determined by an independent professionally qualified valuer. Latest valuation of these assets was carried out on June 30, 2025. Level 3 fair value of biological assets has been determined considering the prices of animals in local markets (replacement cost approach), health profile of the herd, disease outbreaks in Pakistan, current economic conditions of the country and the current trends in dairy industry in Pakistan.

The fair value is also dependent on the age of the cattle. The milking animals have been classified according to their lactations. As the number of lactations increase, the fair value keeps on decreasing. At the same time, a value was fixed on the calf heifer recently born according to the estimation and in relation with referential values of the similar cattle breeding in Pakistan.

When the cow arrives at 6 years i.e. 72 months of age or more (5th Lactation) and is considered an old cow as is usual in Pakistan, and if the cow remains in the farm because she is profitable, normally this is the stage of culling. The value of cow at this stage shall be kept constant.

a) Valuation inputs and relationship to fair value

The valuation inputs used in the calculation includes the farm cost to raise the heifer (as starting point) and according to actual cost in the farm and the analysis of the average local market prices in Pakistan.

The milking performance for the Australian imported heifers, Dutch heifers and farm born heifers has been almost same throughout the year and hence same values have been ascertained for all the milking animals regardless of their categories but according to their lactation levels.

b) Fair value sensitivity analysis for biological assets

If the fair value of biological assets, at the year end date fluctuates by 1% higher / lower with all other variables held constant, post tax profit for the year would have been Rs 9.14 million (2024: Rs 8.29 million) higher / lower mainly as a result of higher / lower fair value gain /(loss) on biological assets.

The carrying values of all other financial assets and liabilities reflected in the financial statements approximate their fair values. Fair value is determined on the basis of objective evidence at each reporting date.

46.4 Financial instruments by categories

	At fair value through profit or loss	At fair value through OCI	At amortised cost	Total
	(Rupees in thousand)			
As at June 30, 2025				
Assets as per statement of financial position				
Long term deposits	-	-	61,013	61,013
Trade debts	-	-	1,699,018	1,699,018
Deposits and other receivables	-	-	134,674	134,674
Investments	653,558	43,045,885	355,046	44,054,489
Cash and bank balances	-	-	955,197	955,197
	653,558	43,045,885	3,204,948	46,904,391
As at June 30, 2024				
Assets as per statement of financial position				
Long term deposits	-	-	61,568	61,568
Trade debts	-	-	956,035	956,035
Deposits and other receivables	-	-	44,060	44,060
Investments	26	33,598,479	25,000	33,623,505
Cash and bank balances	-	-	987,233	987,233
	26	33,598,479	2,073,896	35,672,401

	Financial liabilities at amortized cost	
	2025	2024
	(Rupees in thousand)	
Liabilities as per statement of financial position		
Long term finances - secured	15,377,832	22,883,554
Long term deposits	940,292	572,748
Accrued markup	550,953	1,417,035
Trade and other payables	8,890,044	9,906,475
Short term borrowings	12,347,094	15,108,379
Unclaimed dividend	34,153	34,200
	38,140,368	49,922,391

46.5 Offsetting financial assets and financial liabilities

There are no significant financial assets and financial liabilities that are subject to offsetting, enforceable master netting arrangements and similar agreements.

47. Operating Segments

A business segment is a group of assets and operations engaged in providing products that are subject to risk and returns that are different from those of other business segments.

The Group's operations comprise of the following main business segment types:

Type of segments	Nature of business
Cement	Production and sale of clinker, ordinary portland and sulphate resistant cements
Packaging	Manufacture and supply of packaging products
Dairy	Production and sale of raw milk

The identification of operating segments was based on the internal organisational and reporting structure, built on the different products and services within the Group. Allocation of the individual organisational entities to the operating segments was exclusively based on economic criteria, irrespective of the participation structure under the Companies Act, 2017.

47.1 Segment analysis and reconciliation

The information by operating segment is based on internal reporting to the Group executive committee, identified as the 'Chief Operating Decision Maker' as defined by IFRS 8. This information is prepared under the IFRSs applicable to the consolidated financial statements. All Group financial data are assigned to the operating segments.

(Rupees in thousand)

	Cement		Packaging		Dairy		Elimination - net		Total	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Revenue from										
- External customers	71,815,276	65,985,060	1,026,934	280,891	5,791,698	5,622,128	-	-	78,633,908	71,888,079
- Inter segment	77,561	53,629	2,266,896	2,215,868	-	-	(2,344,457)	(2,269,497)	-	-
	71,892,837	66,038,689	3,293,830	2,496,759	5,791,698	5,622,128	(2,344,457)	(2,269,497)	78,633,908	71,888,079
Segment gross profit / (loss)	18,505,671	10,528,260	434,563	254,364	942,786	938,408	(83,689)	(109,253)	19,799,331	11,611,779
Segment expenses	(5,902,224)	(3,923,042)	(77,826)	(44,684)	(366,384)	(313,152)	745	170,155	(6,345,689)	(4,110,723)
Other income	4,271,570	4,234,797	703,790	161,132	94,091	157,517	(19,312)	(195,500)	5,050,139	4,357,946
Changes in fair value of biological assets	-	-	-	-	(469,855)	372,431	-	-	469,855	372,431
Finance cost	(3,870,405)	(8,001,105)	(415,075)	(536,893)	(2,699)	(14,125)	-	-	(4,288,179)	(8,552,123)
Taxation and Levy	(4,329,553)	(2,296,514)	(135,272)	(118,449)	(462,942)	(381,916)	-	-	(4,927,767)	(2,796,879)
Profit / (loss) after taxation	8,675,059	542,396	510,180	(284,530)	674,707	759,163	(102,256)	(134,598)	9,757,690	882,431
Segment assets	145,924,236	138,385,752	10,837,425	6,785,449	5,573,063	5,268,136	(3,293,012)	(2,607,402)	159,041,712	147,831,935
Segment liabilities	51,256,761	62,538,217	7,840,699	4,582,596	1,464,669	1,601,701	(1,149,256)	(437,654)	59,412,873	68,284,860
Depreciation, amortization and impairment	3,802,916	3,829,907	121,178	61,888	152,775	161,768	20,457	21,610	4,097,326	4,075,173
Net cash generated from / (used in) operating activities	10,034,132	6,029,545	590,087	234,156	284,386	(160,259)	(269,123)	(865,167)	10,639,482	5,238,275
Capital expenditure	(1,211,491)	(1,620,798)	(2,735,957)	(676,095)	(119,311)	(22,956)	(173,044)	23,551	(4,239,803)	(2,296,298)
Net cash generated from / (used in) investing activities	3,000,535	2,277,223	(2,250,793)	(538,425)	76,579	424,787	(309,568)	(83,779)	516,753	2,079,806

47.2 Geographical segments

All segments of the Group are managed on a nation-wide basis and operate manufacturing facilities and sales offices in Pakistan only.

47.3 Geographical markets (Export Revenue)

	2025	2024
	(Rupees in thousand)	
Bangladesh	3,719,540	5,662,487
West Africa	3,306,739	442,366
Sri Lanka	3,299,506	2,757,117
Kenya	2,055,279	-
USA	1,240,207	1,954,140
Madagascar	1,080,213	235,752
Tanzania	580,136	70,119
Qatar	433,305	430,639
South Africa	427,626	-
Afghanistan	279,845	13,719
Gabon	255,303	-
Comoros	253,592	-
Seychelles	104,866	-
Mexico	-	320
	17,036,157	11,566,659

48. Interests in other entities

48.1 Material subsidiaries

The subsidiaries as at June 30, 2025 are set out below. Unless otherwise stated, they have share capital consisting solely of ordinary shares that are held directly by the parent company, and the proportion of ownership interests held equals the voting rights held by the parent company. The country of incorporation or registration and their principal places of business are disclosed in note 1.

	Ownership interest held by the Group		Ownership interest held by non-controlling interests		
Name of entity	2025	2024	2025	2024	Principal activities
Nishat Packaging Limited	55%	55%	45%	45%	Manufacture and sale of Packaging material
Nishat Dairy (Private) Limited	55.10%	55.10%	44.90%	44.90%	Production and sale of raw milk

48.2 Non-controlling interests ('NCI')

Set out below is summarised financial information for each subsidiary that has non-controlling interests that are material to the Group. The amounts disclosed for each subsidiary are before inter-company eliminations:

	Nishat Packaging Limited		Nishat Dairy (Private) Limited	
	2025	2024	2025	2024
	(Rupees in thousand)		(Rupees in thousand)	
Summarised statement of financial position				
Current assets	4,817,583	3,798,113	2,604,514	2,376,636
Less: current liabilities	4,384,343	2,937,071	755,621	941,549
Net current assets	433,240	861,042	1,848,893	1,435,087
Non-current assets	6,019,842	2,987,336	2,968,549	2,891,500
Less: non-current liabilities	3,456,356	1,645,526	709,048	660,152
Net non-current assets	2,563,486	1,341,810	2,259,501	2,231,348
Net assets	2,996,726	2,202,852	4,108,394	3,666,435
Accumulated non-controlling interests	1,490,469	1,142,529	1,918,355	1,724,586
Summarised statement of comprehensive income				
Revenue	3,293,830	2,496,760	5,791,699	5,622,128
Profit / (loss) for the year	510,181	(284,531)	674,708	759,164
Other comprehensive income	283,692	518,899	-	-
Total comprehensive income	793,873	234,368	674,708	759,164
Profit / (loss) allocated to NCI	220,279	(74,137)	298,269	335,670
Other comprehensive income allocated to NCI	127,662	233,504	-	-
Dividend paid to NCI	-	-	-	-
Summarised cash flows				
Cash flows from / (used in) operating activities	590,087	234,156	284,386	(160,259)
Cash flows (used in) / from investing activities	(2,250,793)	(538,425)	76,579	424,787
Cash flows from / (used in) from financing activities	1,251,983	708,021	(245,875)	(252,893)
Net (decrease) / increase in cash and cash equivalents	(408,723)	403,752	115,090	11,635

	2025	2024
	(Rupees in thousand)	

49. Disclosures by Company Listed on Islamic Index

	2025	2024
Loans/advances obtained as per Islamic mode:		
Loans obtained as per Islamic mode	6,573,756	11,156,468
Shariah compliant bank deposits/bank balances:		
Bank balances	212,468	124,184
Profit earned from shariah compliant bank deposits/bank balances		
Profit on deposits with banks	7,344	8,094
Revenue earned from shariah compliant business	71,892,837	66,038,689
Gain or dividend earned from shariah compliant investments		
Dividend income	136,155	155,556
Exchange gain	-	200,018
Profit paid on Islamic mode of financing	1,592,401	1,470,529
Profits earned or interest paid on any conventional loan or advance		
Profit earned on deposits with banks	118,486	4,386
Interest paid on loans	3,328,798	6,989,677

Relationship with shariah compliant banks

The Cement segment has obtained short term borrowings and long term finances, and has maintained bank balances with shariah compliant banks.

50. Disclosure requirements for Companies not engaged in Shariah non-permissible business activities

Following information has been disclosed as required under Part 1 Clause VII of the Fourth Schedule to the Companies Act, 2017 as amended via S.R.O.1278(I)/2024 dated August 15, 2024:

	2025	2024
	(Rupees in thousand)	
Description		
Consolidated statement of financial position		
Financing obtained as per Islamic mode	10,081,316	12,799,706
Accrued finance cost on conventional loan	265,598	1,074,755
Long-term and short-term Shariah compliant Investments	12,367,849	10,382,056
Bank balances - Shariah compliant	212,859	124,890
Consolidated statement of profit or loss		
Revenue earned from a shariah-compliant business segment	80,978,366	74,157,577
Source and detailed break up of other income		
Other income earned from shariah compliant:	-	-
Rental Income	5,256	7,202
Profit on bank deposits	7,344	8,094
Gain on disposal of operating fixed assets	571,334	26,909
Gain on disposal of store items	837	1,061
Gain on disposal of biological assets	10,562	10,656
Gain on disposal of investments	17,485	18,405
Sale of scrap	129,532	142,666
Exchange gain	746	2,189
Miscellaneous	13,844	412,941
Dividend income	136,155	155,556
Other income earned from non - shariah compliant		
Income on bank deposits	187,055	64,561
Dividend income	3,989,301	3,620,356

51. Reconciliation of movements in liabilities to cash flows arising from financing activities

	Own shares purchased for cancellation	Unclaimed dividend	Long term financing from financial institutions - secured	Total
	(Rupees in thousands)			
As at July 01, 2024	-	34,200	22,883,554	22,917,754
Change in liability:				
Finance cost	-	-	133,818	133,818
Dividend announced during the year	-	-	-	-
Cancelled/terminated during the year	(104,500)	-	-	-
Total liability related change	(104,500)	-	133,818	133,818
Changes from financing cash flows				
Dividend paid during the year including unclaimed / unpaid balances	-	(47)	-	(47)
Long term financing received	-	-	1,879,007	1,879,007
Long term financing paid	-	-	(9,518,547)	(9,518,547)
Total changes from financing cash flows	-	(47)	(7,639,540)	(7,639,587)
As at June 30, 2025		34,153	15,377,832	15,411,985
For the year ended June 30, 2025	(104,500)			
As at July 01, 2023		34,704	17,437,036	17,471,740
Change in liability:				
Finance cost	-	-	176,623	176,623
Dividend announced during the year	-	-	-	-
Cancelled/terminated during the year	(110,000)	-	-	-
Total liability related change	(110,000)	-	176,623	176,623
Changes from financing cash flows				
Dividend paid during the year	-	-	-	-
including unclaimed / unpaid balances	-	(504)	-	(504)
Long term financing received	-	-	12,602,529	12,602,529
Long term financing paid	-	-	(7,332,634)	(7,332,634)
Total changes from financing cash flows	-	(504)	5,269,895	5,269,391
As at June 30, 2024		34,200	22,883,554	22,917,754
For the year ended June 30, 2024	(110,000)			

52. Corresponding figures

Corresponding figures have been re-arranged and reclassified, wherever necessary, for the purposes of comparison and better presentation as per reporting framework. However, no significant rearrangements and reclassifications have been made, except for the following:

	Rupees in thousand
Provision in respect of 'Infrastructure cess' previously classified under 'Trade Creditors' within 'Trade and other payables', is now reclassfied to 'Infrastructure cess' within 'Trade and other payables'	1,187,248

53. Events after the reporting date

The Board of Directors in its meeting held on August 28, 2025 has announced a final cash dividend in respect of the year ended June 30, 2025 of Rs 2 per share (2024: Nil). These consolidated financial statements for the year ended June 30, 2025 do not include the effect of these appropriations which will be accounted for subsequent to the year end.

54. Date of authorisation for issue

These consolidated financial statements were authorised for issue on August 28, 2025 by the Board of Directors.

Chief Executive	Chief Financial Officer	Director